

# GS China Economic Outlook

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## Time to Ease

August 4, 2026

|              |                       |
|--------------|-----------------------|
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# Global GDP Forecasts: GS vs Consensus

| Real GDP Growth: | Annual Average |            |            |            |            |            |
|------------------|----------------|------------|------------|------------|------------|------------|
|                  | 2025           | 2026       |            | 2027       |            | Potential  |
|                  | Actual*        | GS         | Consensus  | GS         | Consensus  | GS         |
| <b>DMs</b>       |                |            |            |            |            |            |
| US               | 2.1            | 2.1        | 2.2        | 2.2        | 2.1        | 2.3        |
| Euro Area        | 1.3            | 0.8        | 0.6        | 1.2        | 1.2        | 1.0        |
| Germany          | 0.3            | 0.9        | 0.6        | 1.1        | 1.1        | 0.5        |
| France           | 0.9            | 0.5        | 0.6        | 0.8        | 0.9        | 1.0        |
| Italy            | 0.7            | 0.8        | 0.6        | 0.7        | 0.7        | 0.8        |
| Spain            | 2.8            | 2.5        | 2.3        | 1.8        | 1.8        | 1.9        |
| Japan            | 1.1            | 0.5        | 0.6        | 1.0        | 0.8        | 0.6        |
| UK               | 1.3            | 1.1        | 1.0        | 1.3        | 1.2        | 1.4        |
| Canada           | 1.9            | 0.9        | 0.7        | 2.0        | 1.8        | 1.5        |
| Australia        | 2.0            | 1.8        | 1.9        | 2.0        | 1.7        | 2.4        |
| <b>EMs</b>       |                |            |            |            |            |            |
| China            | 5.0            | 4.6        | 4.6        | 4.7        | 4.4        | 4.5        |
| India            | 7.5            | 6.9        | 6.5        | 7.4        | 6.4        | 6.6        |
| Brazil           | 2.3            | 2.2        | 2.0        | 1.4        | 1.8        | 2.1        |
| South Korea      | 1.1            | 3.2        | 2.9        | 2.5        | 2.2        | 2.4        |
| Mexico           | 0.5            | 1.3        | 1.1        | 1.8        | 1.8        | 2.1        |
| <b>World</b>     | <b>2.8</b>     | <b>2.5</b> | <b>2.5</b> | <b>2.8</b> | <b>2.7</b> | <b>2.7</b> |

\*GS estimate where actual full-year data is not yet available.

Note: Global GDP growth rates aggregated using market exchange rates. IMF forecast used for India 2027 consensus value.

Source: Bloomberg, Goldman Sachs Global Investment Research

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# Key China Macro Views

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- **Growth:**

- We expect 2026 real GDP to grow 4.6%, in line with the government's "4.5-5%" target, despite the global energy-supply shock due to the Middle East conflict.
- The property market has not bottomed, but the drag to GDP growth should lessen.
- Although household consumption may stay weak in 2026, we expect government consumption growth to increase to offset such weakness.
- Our forecast for the 2026 current account surplus is 3.5% of GDP, and we expect it to continue to rise in 2027 and 2028.

- **Inflation:**

- China's reflation process will be driven by cost-push inflation (higher energy prices) and the government's "anti-involution" efforts to curb excessive price-cutting, which should help lift PPI inflation from -2.6% in 2025 to +2.0% in 2026.
- We expect headline CPI inflation to increase from 0% in 2025 to 1.0% in 2026.

- **Policy:**

- We expect policy rate to remain unchanged, the augmented fiscal deficit to widen by 0.5pp of GDP, and USDCNY to reach 6.50 in 12 months (6.70 by end-2026).
- China's 15<sup>th</sup> FYP continues to prioritize manufacturing, technology, and security.

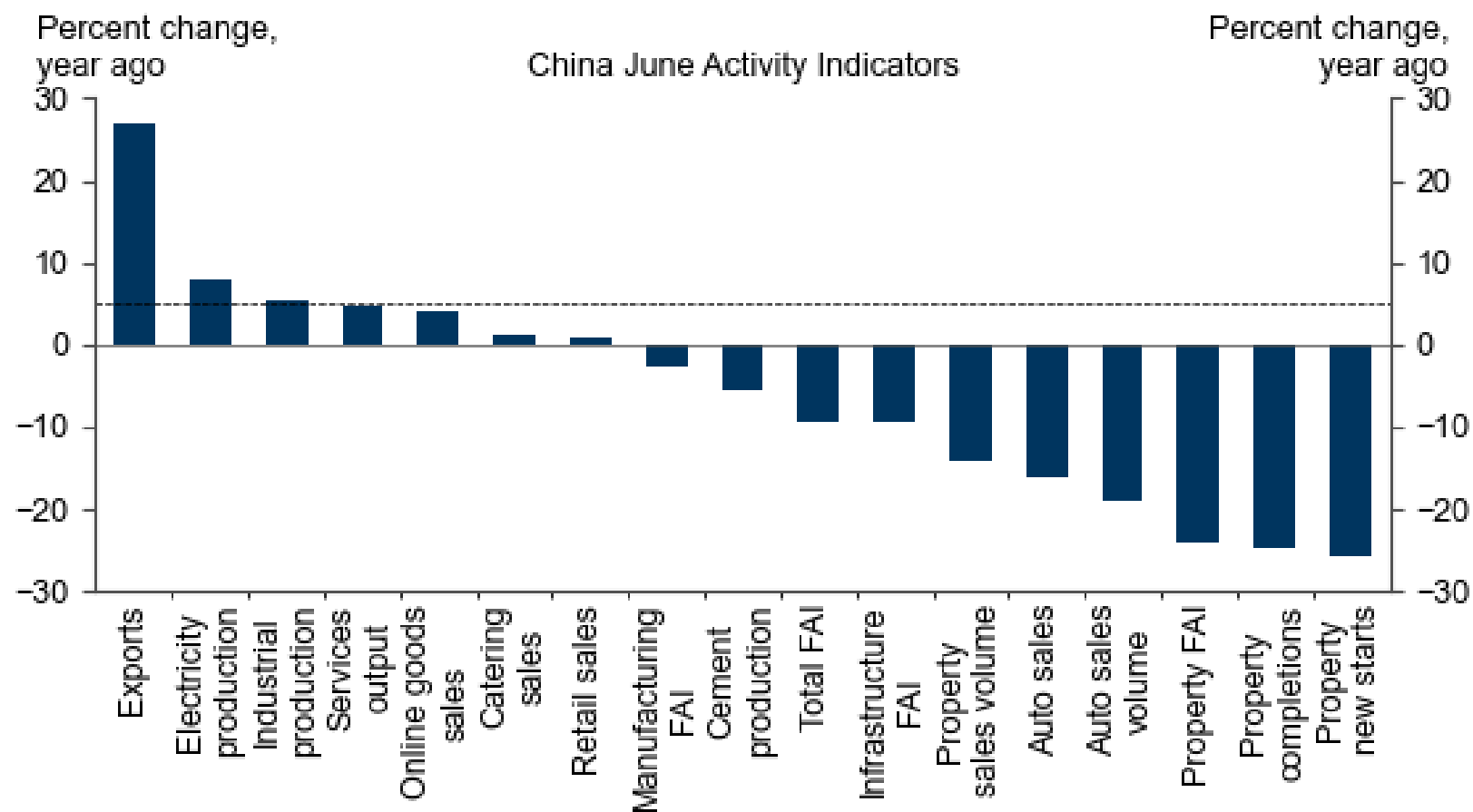
Source: Goldman Sachs Global Investment Research

# GS China Forecasts for 2026

|                                |              | 2019       | 2020       | 2021       | 2022       | 2023       | 2024       | 2025       | 2026F      |
|--------------------------------|--------------|------------|------------|------------|------------|------------|------------|------------|------------|
| <b>GDP</b>                     | <b>% yoy</b> | <b>6.1</b> | <b>2.3</b> | <b>8.6</b> | <b>3.1</b> | <b>5.4</b> | <b>5.0</b> | <b>5.0</b> | <b>4.6</b> |
| Domestic Demand                | pp           | 5.4        | 1.7        | 6.9        | 2.5        | 6.0        | 3.4        | 3.4        | 3.4        |
| Consumption                    | % yoy        | 6.3        | -0.2       | 9.4        | 2.7        | 8.3        | 4.0        | 4.6        | 4.4        |
| Household Consumption          | % yoy        | 6.1        | -1.9       | 12.1       | 1.7        | 8.8        | 5.2        | 4.3        | 4.0        |
| Government Consumption         | % yoy        | 6.9        | 3.8        | 3.5        | 5.2        | 7.2        | 1.2        | 5.2        | 5.5        |
| Gross Fixed Capital Formation  | % yoy        | 5.5        | 3.6        | 2.5        | 3.5        | 4.5        | 2.3        | 1.2        | 2.0        |
| Net Exports                    | pp           | 0.7        | 0.7        | 1.7        | 0.5        | -0.6       | 1.5        | 1.6        | 1.2        |
| Exports of Goods (nominal USD) | % yoy        | 0.5        | 3.6        | 29.6       | 5.6        | -4.7       | 5.8        | 5.4        | 19.4       |
| Imports of Goods (nominal USD) | % yoy        | -2.7       | -1.0       | 30.6       | 0.7        | -5.5       | 1.0        | 0.3        | 27.1       |
| <b>Inflation</b>               |              |            |            |            |            |            |            |            |            |
| CPI                            | % yoy        | 2.9        | 2.5        | 0.9        | 2.0        | 0.2        | 0.2        | 0.0        | 1.0        |
| Core CPI                       | % yoy        | 1.6        | 0.8        | 0.8        | 0.9        | 0.7        | 0.5        | 0.8        | 1.1        |
| PPI                            | % yoy        | -0.3       | -1.8       | 8.0        | 4.1        | -3.0       | -2.2       | -2.6       | 2.0        |
| <b>Other</b>                   |              |            |            |            |            |            |            |            |            |
| Current Account Balance        | % GDP        | 0.6        | 1.5        | 1.6        | 2.2        | 1.4        | 2.4        | 3.7        | 3.5        |
| USDCNY (eop)                   | level        | 6.97       | 6.54       | 6.37       | 6.95       | 7.09       | 7.30       | 7.00       | 6.70       |
| OMO 7-Day Repo Rate (eop)      | %            | 2.50       | 2.20       | 2.20       | 2.00       | 1.80       | 1.50       | 1.40       | 1.40       |
| TSF Stock Growth (eop)         | %            | 10.7       | 13.3       | 10.3       | 9.6        | 9.5        | 8.0        | 8.3        | 7.2        |
| Augmented Fiscal Deficit       | % GDP        | 11.7       | 16.6       | 11.2       | 12.3       | 11.3       | 10.6       | 11.0       | 11.5       |

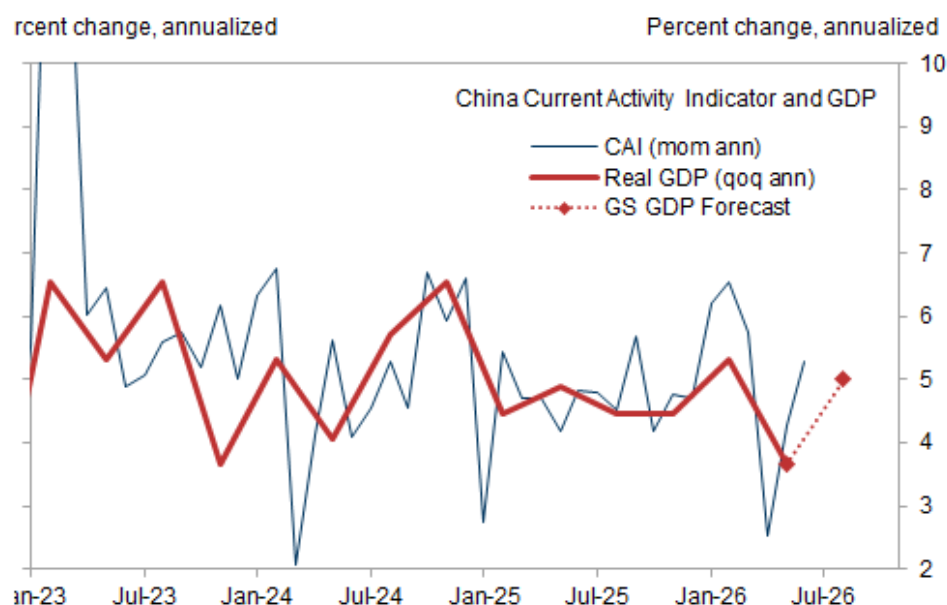
Source: Haver Analytics, Wind, Goldman Sachs Global Investment Research

# China's Economy Remains Highly Bifurcated



Source: CEIC, Goldman Sachs Global Investment Research

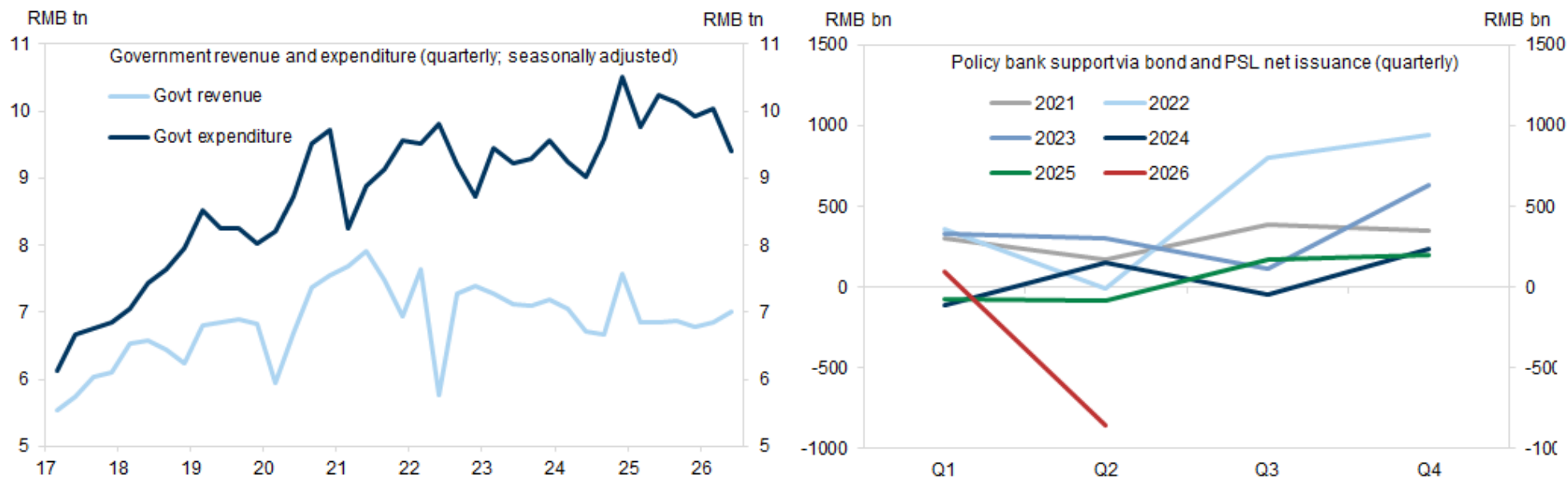
# Our 2026 Full-year Real GDP Growth Forecast Was Mechanically Lowered to 4.6% vs. 4.7% Previously



| China real GDP growth forecast |    |          |               |                |                     |
|--------------------------------|----|----------|---------------|----------------|---------------------|
|                                |    | New YoY% | Previous YoY% | New QoQ%, SAAR | Previous QoQ%, SAAR |
| 2023                           |    | 5.4      | 5.4           |                |                     |
| 2024                           |    | 5.0      | 5.0           |                |                     |
| 2025                           |    | 5.0      | 5.0           |                |                     |
| 2026                           |    | 4.6      | 4.7           |                |                     |
| 2027                           |    | 4.7      | 4.7           |                |                     |
| 2025                           | Q1 | 5.4      | 5.4           | 4.5            | 4.5                 |
|                                | Q2 | 5.2      | 5.2           | 4.9            | 4.5                 |
|                                | Q3 | 4.8      | 4.8           | 4.5            | 4.5                 |
|                                | Q4 | 4.5      | 4.5           | 4.5            | 4.9                 |
| 2026                           | Q1 | 5.0      | 5.0           | 5.3            | 5.3                 |
|                                | Q2 | 4.3      | 4.5           | 3.6            | 3.5                 |
|                                | Q3 | 4.6      | 4.7           | 5.0            | 5.0                 |
|                                | Q4 | 4.6      | 4.6           | 4.5            | 4.5                 |

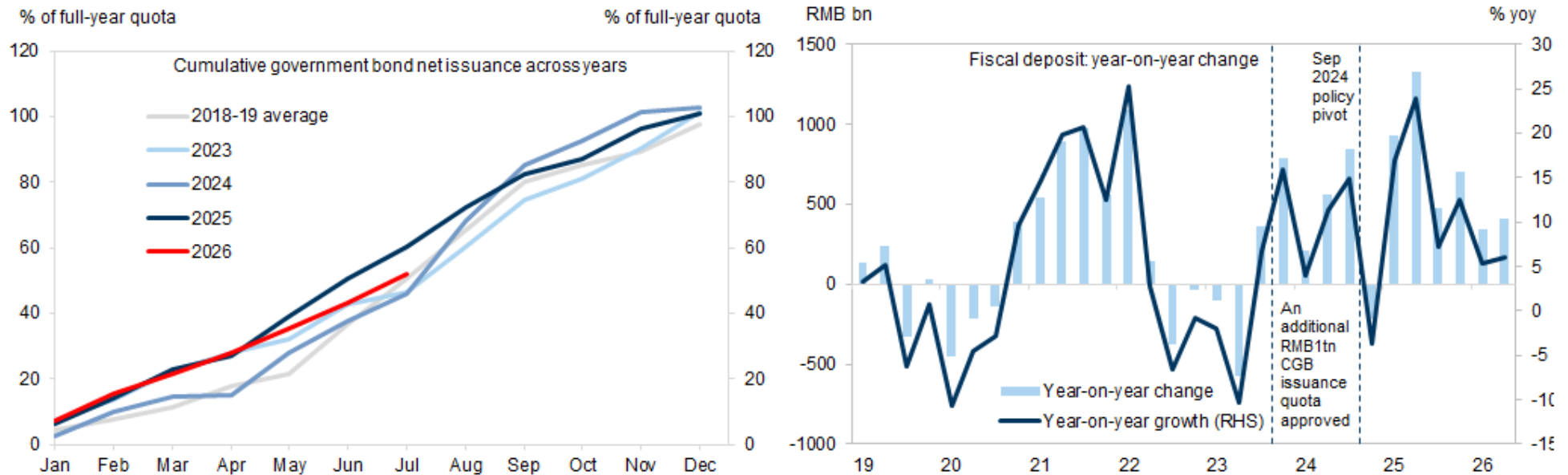
Source: Haver Analytics, Goldman Sachs Global Investment Research

# Fiscal Policy Tightened in Q2, Contributing Nearly Half of the Sequential Real GDP Growth Slowdown from Q1 to Q2



Source: Wind, CEIC, Goldman Sachs Global Investment Research

# July Politburo Meeting Strengthens Easing Rhetoric and Emphasizes Faster Implementation of Planned Measures

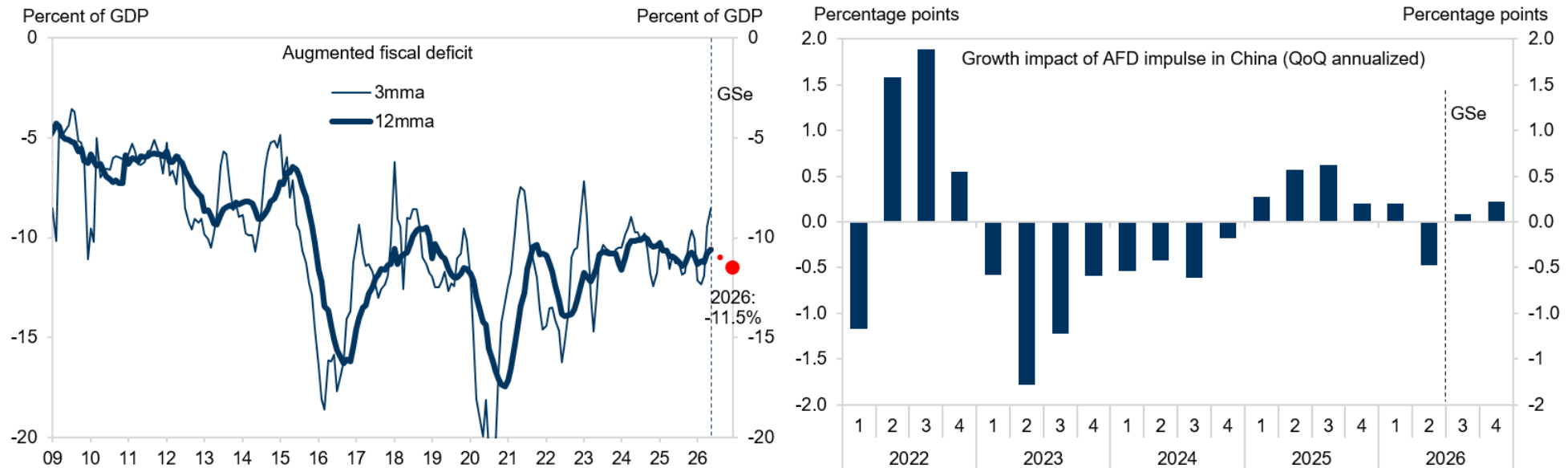


Note: Government bond net issuance includes central and local government bonds. Local government refinancing bond issuance for debt resolution is not included.

Source: Wind, CEIC, Goldman Sachs Global Investment Research

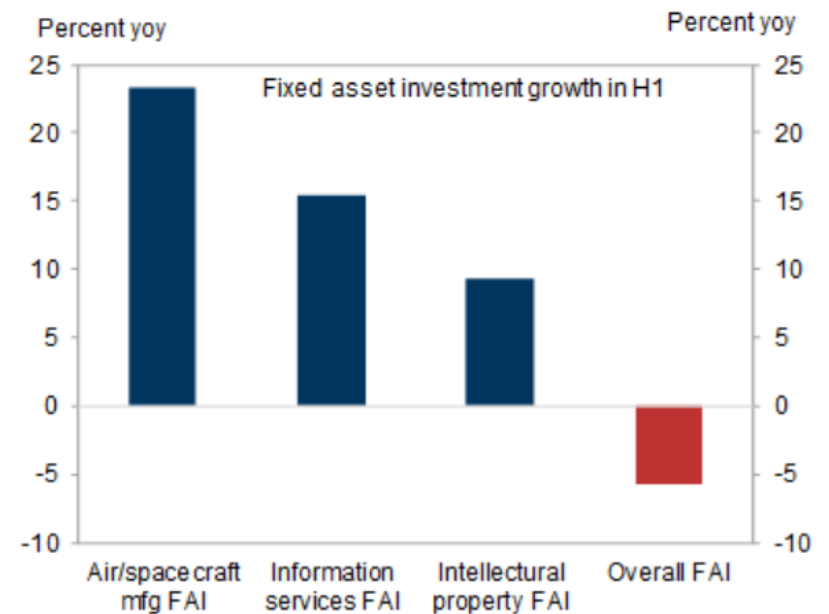
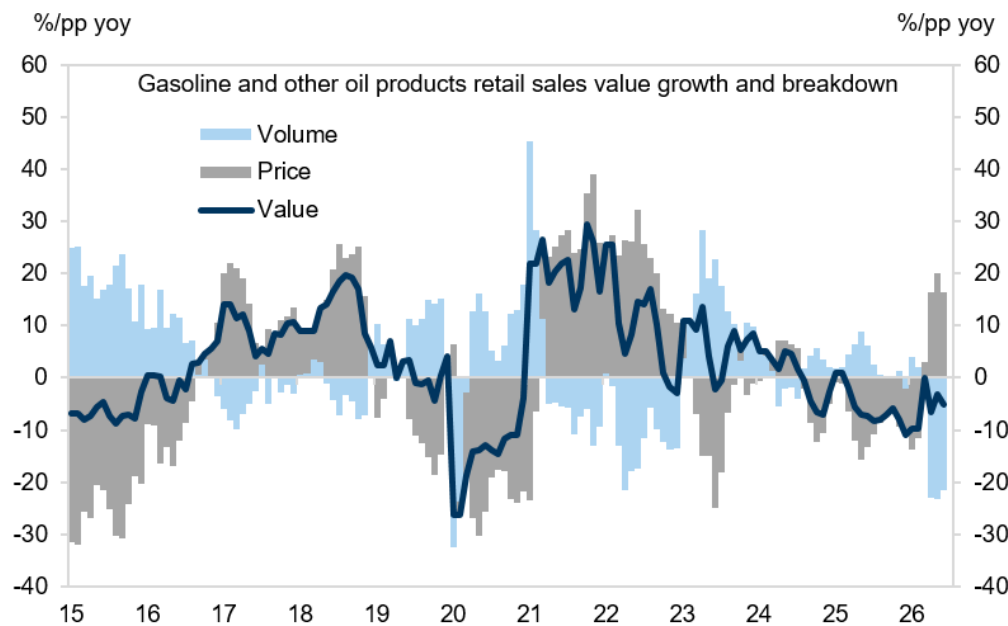


# We Expect Augmented Fiscal Deficit to Widen Modestly in H2 After the Q2 Tightening



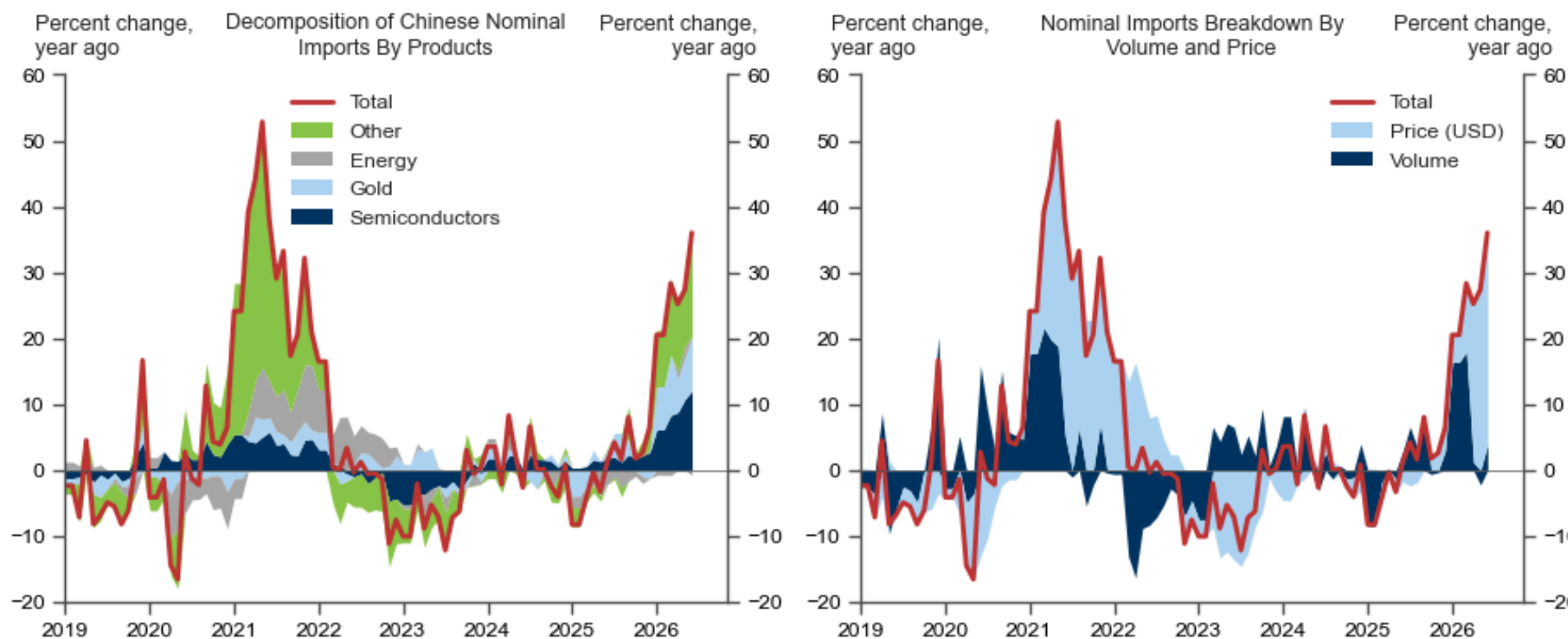
Source: Wind, CEIC, Goldman Sachs Global Investment Research

# Negative Impact of the Iran War Started to Show in Q2 While High-tech and New Energy Sectors Remain Strong



Source: CEIC, Goldman Sachs Global Investment Research

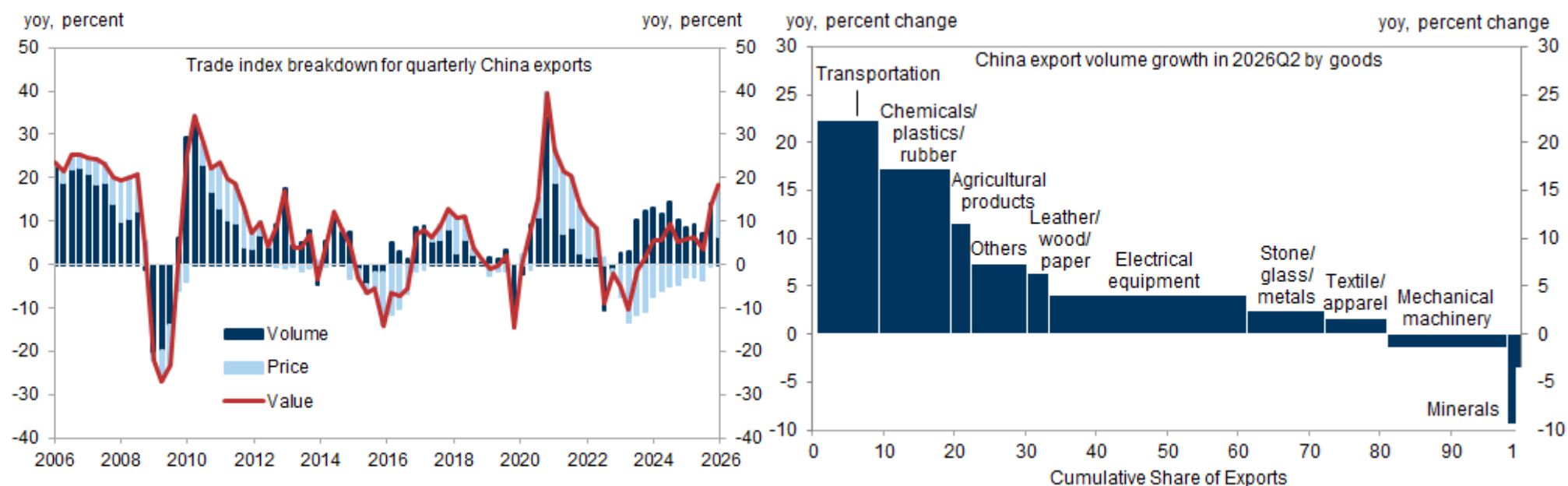
# Recent Import Increases Were Concentrated in Semiconductors and Gold; Price Effects Became Dominant in Recent Months



Note: Latest data until June 2026.

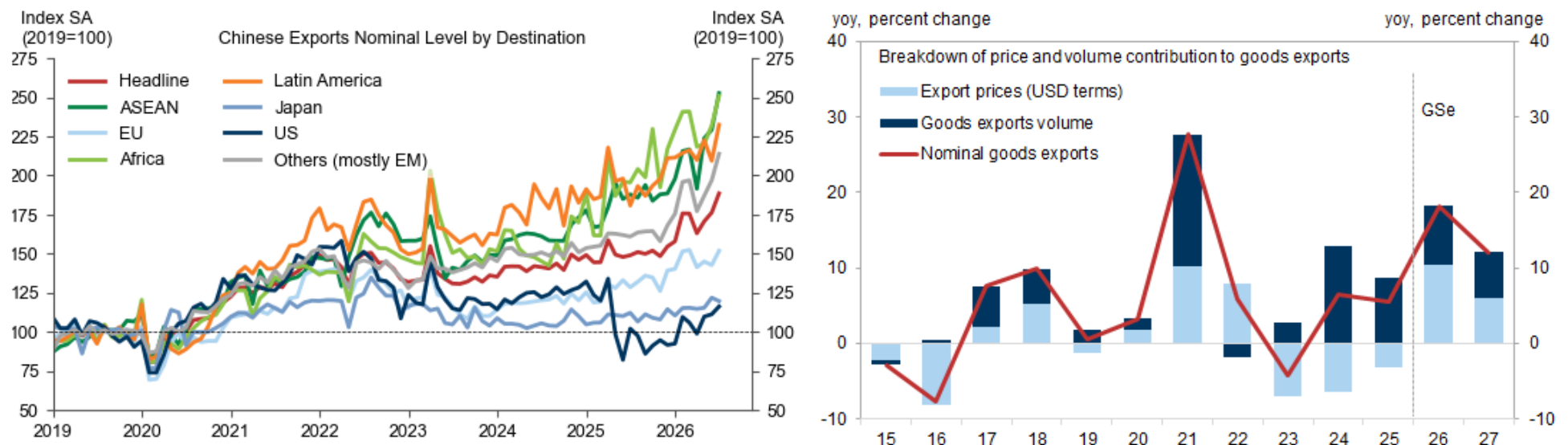
Source: Haver Analytics, Goldman Sachs Global Investment Research

# While Price Effects Have Also Become Dominant for Exports, Volume Growth Remained Strong



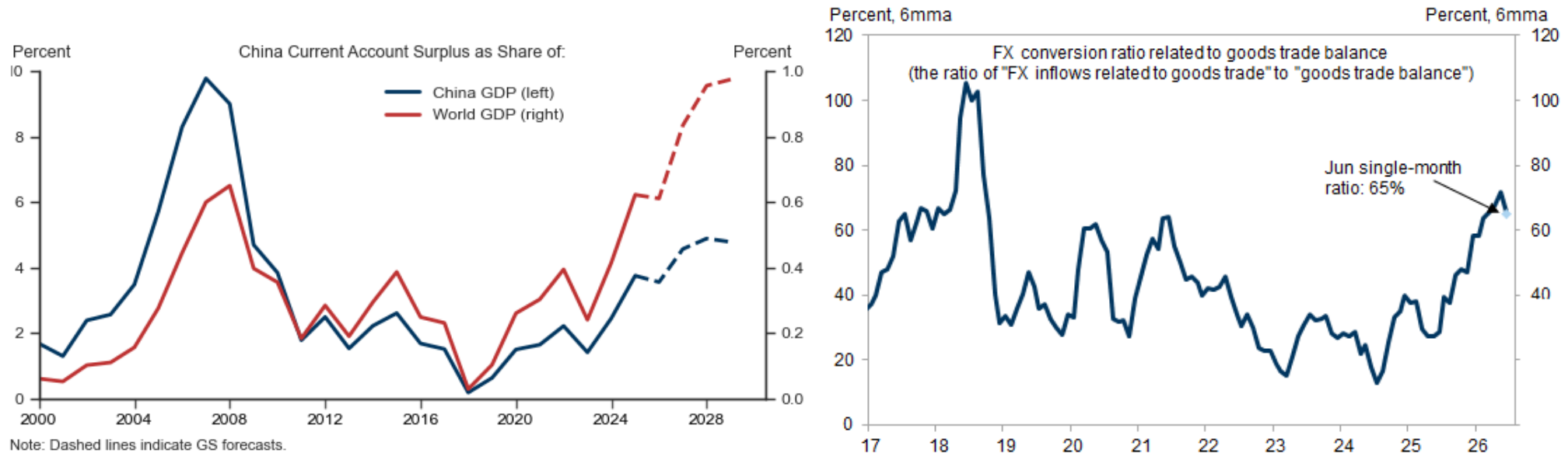
Source: Haver Analytics, Goldman Sachs Global Investment Research

# Chinese Exports to EM Economies Continue to Outperform, And We Expect Export Volume Growth to Remain Solid in the Coming Years



Source: CEIC, Haver Analytics, Goldman Sachs Global Investment Research

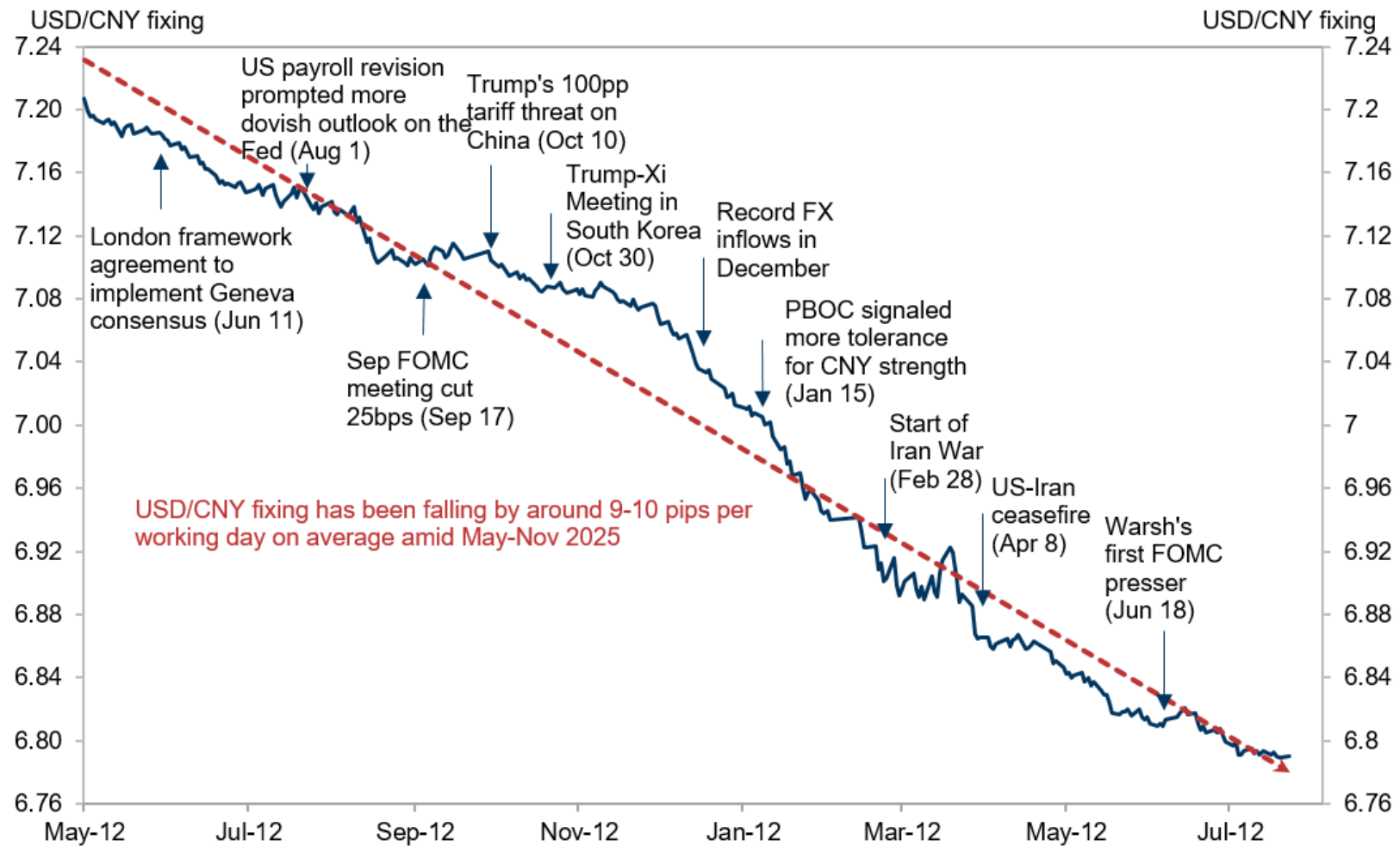
# China's Current Account Surplus Is Set to Rise Further; Exporters' FX Conversion Ratio Increased in Recent Months



Note: The line in the RHS chart shows a six-month moving average of FX conversion ratio.

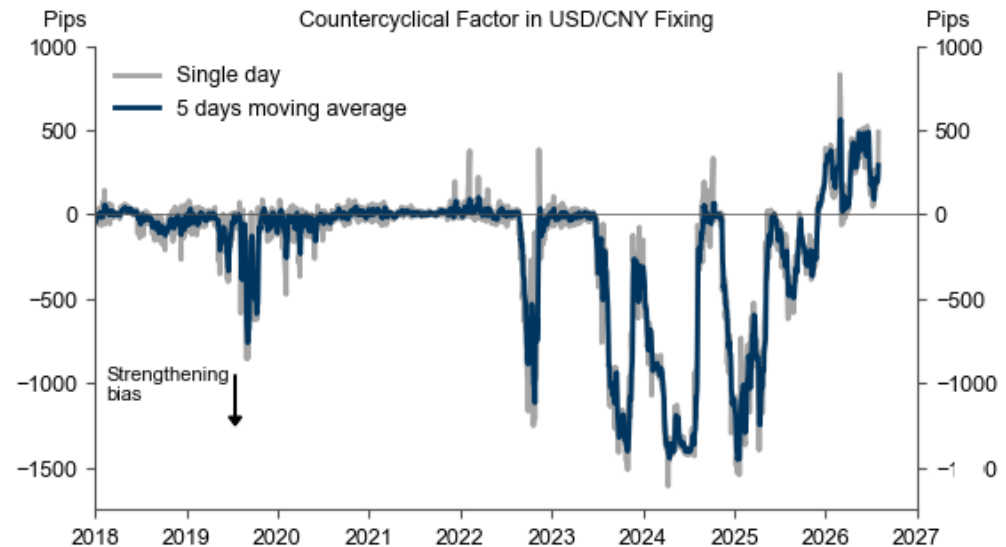
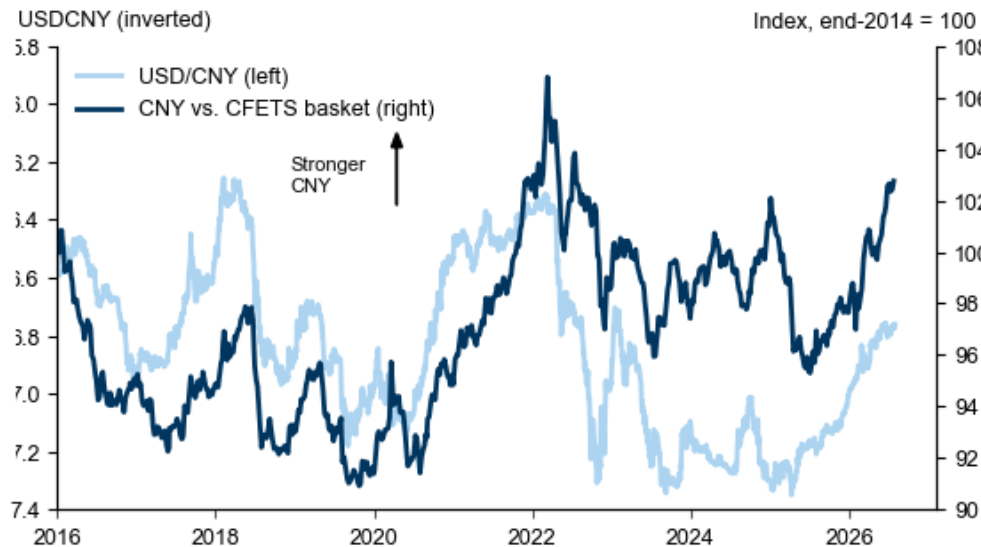
Source: Haver Analytics, CEIC, Goldman Sachs Global Investment Research

# USD/CNY Fixing Continued to Decline



Source: Bloomberg, Goldman Sachs Global Investment Research

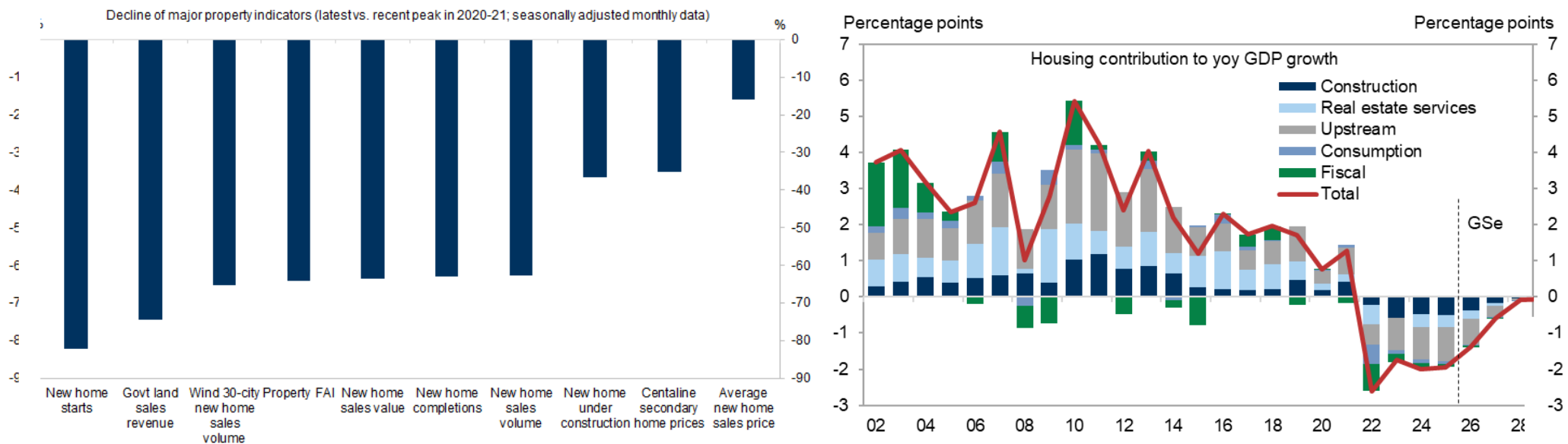
# We Expect a Gradual but Sustained RMB Appreciation Against USD Ahead



Source: Bloomberg, Wind, Goldman Sachs Global Investment Research

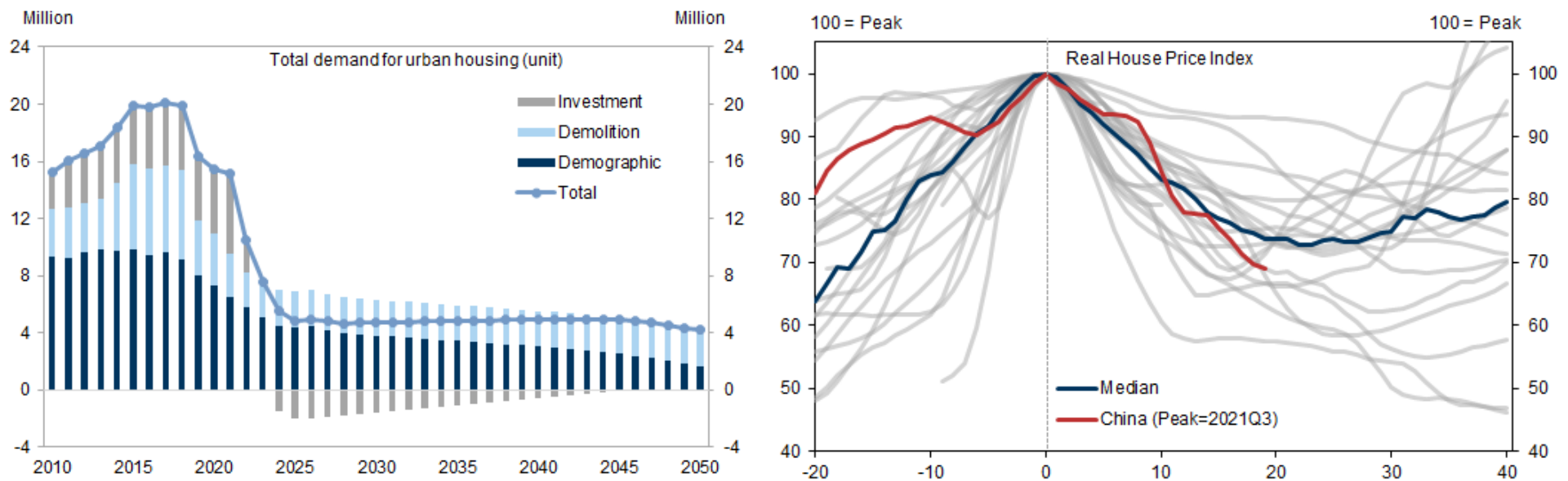


# Property Sector Not Bottoming Yet, But Its Growth Drag May Shrink



Source: Haver Analytics, Wind, Goldman Sachs Global Investment Research

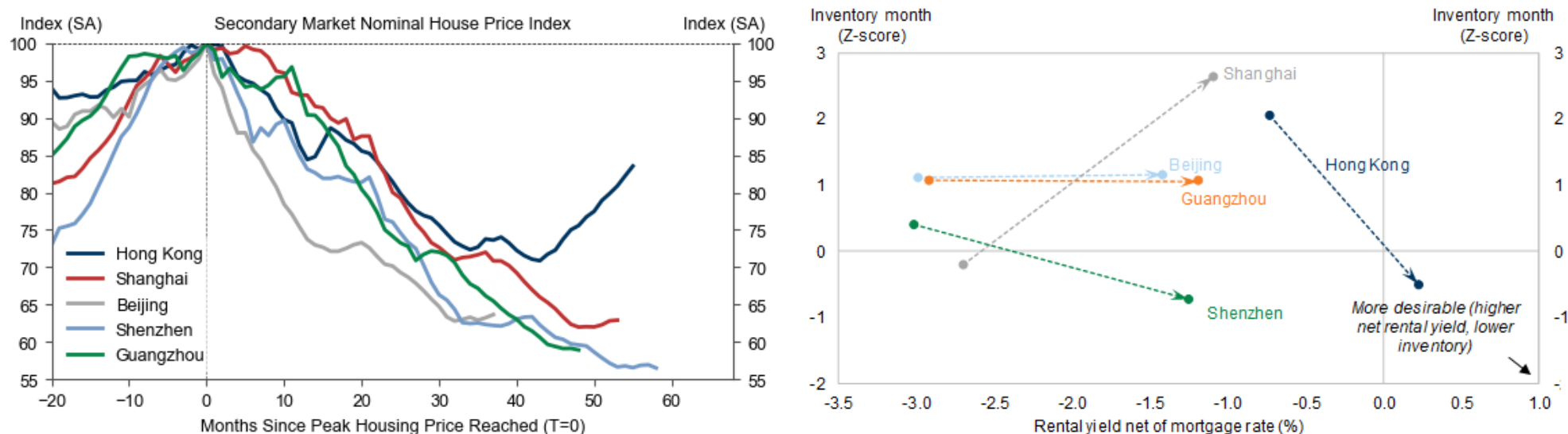
# China's Demand for New Homes May Stay Low and Property Prices Likely to Take 1-2 More Years to Bottom Out



Note: The benchmark illustrates 21 large housing booms/busts across 15 economies around the world since the 1960s.

Source: Haver Analytics, Goldman Sachs Global Investment Research

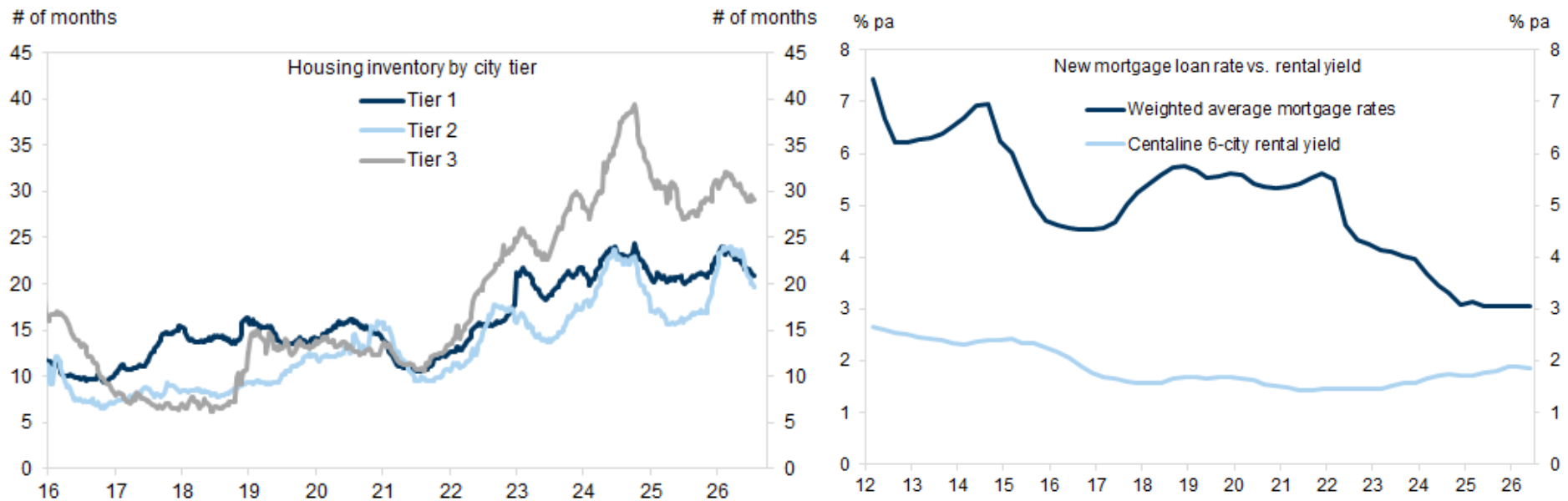
# HK Property Prices Have Rebounded Meaningfully Since Mid-2025, While Home Prices in Mainland Tier-1 cities Showed Early Signs of Stabilization



Note: Peak month refers to November 2021 for Hong Kong, May 2023 for Beijing, January 2022 for Shanghai, June 2022 for Guangzhou and August 2021 for Shenzhen, based on Centaline secondary home price data. Our housing inventory measures for Mainland China and Hong Kong differ due to data availability and definitions. For Mainland China, inventory is based on the CREIS database and includes completed unsold units and uncompleted units with presales permits, measured in months of new home sales. Hong Kong inventory data are from the Housing Bureau and cover unsold units that are both completed and under construction. As of end-2025, average inventory stands at 24 months in mainland China's Tier-1 cities versus 49 months in Hong Kong, reflecting these definitional differences. We use Z-scores to gauge inventory levels relative to local historical averages.

Source: Wind, Goldman Sachs Global Investment Research, Centaline

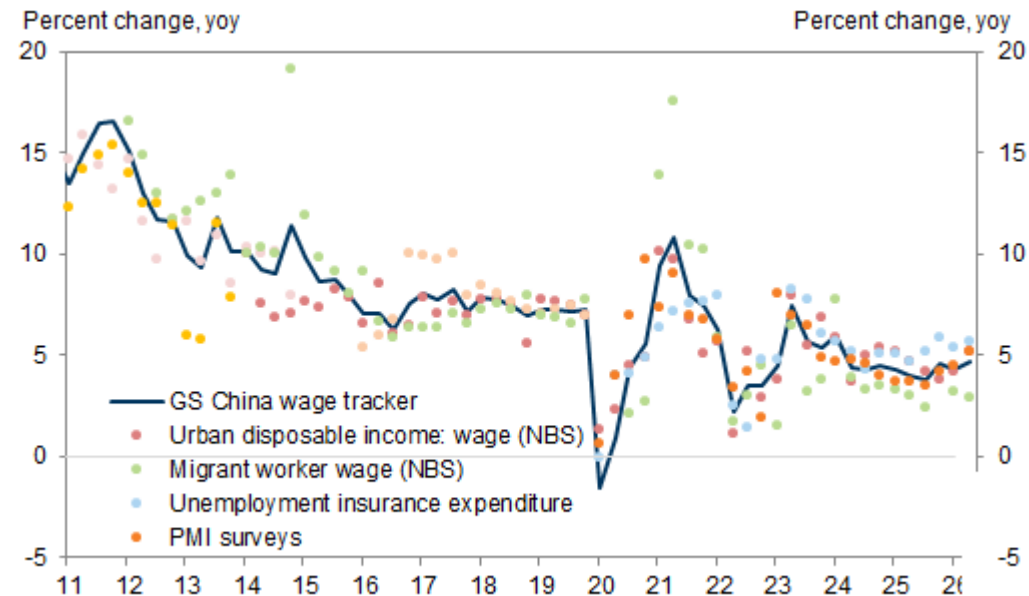
# Further Housing Easing Efforts Needed to Stabilize Home Prices in Large Cities



Note: Housing inventory is estimated as housing inventory levels divided by the number of 12-month moving average new home sales.

Source: CREIS, Wind, Goldman Sachs Global Investment Research

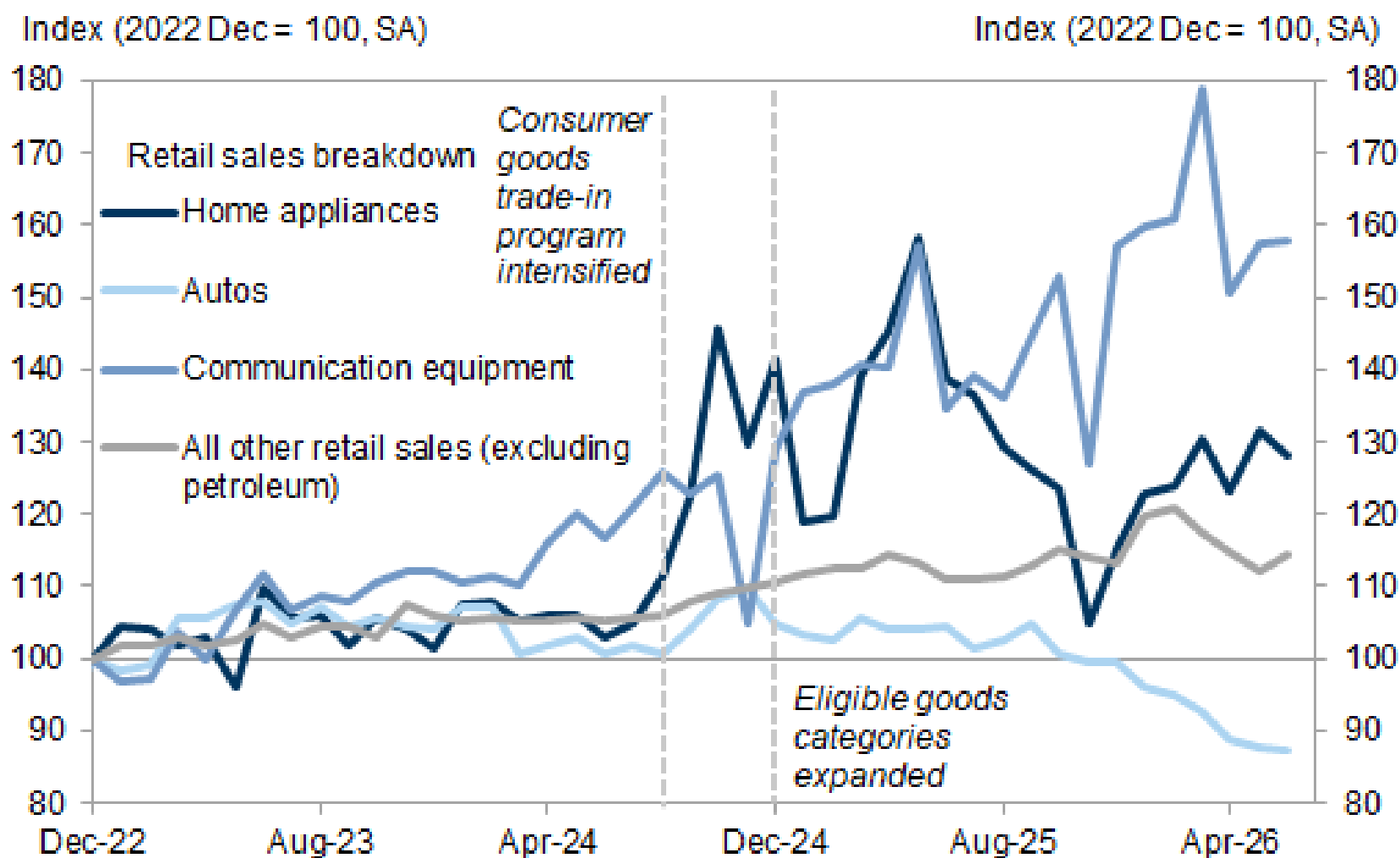
# A Weak Labor Market Has Constrained Households' Ability to Spend



We include employment sub-index under NBS manufacturing PMI, construction PMI, and services PMI, Ratingdog manufacturing PMI and services PMI, CKGSB recruitment index, and emerging industries PMI.

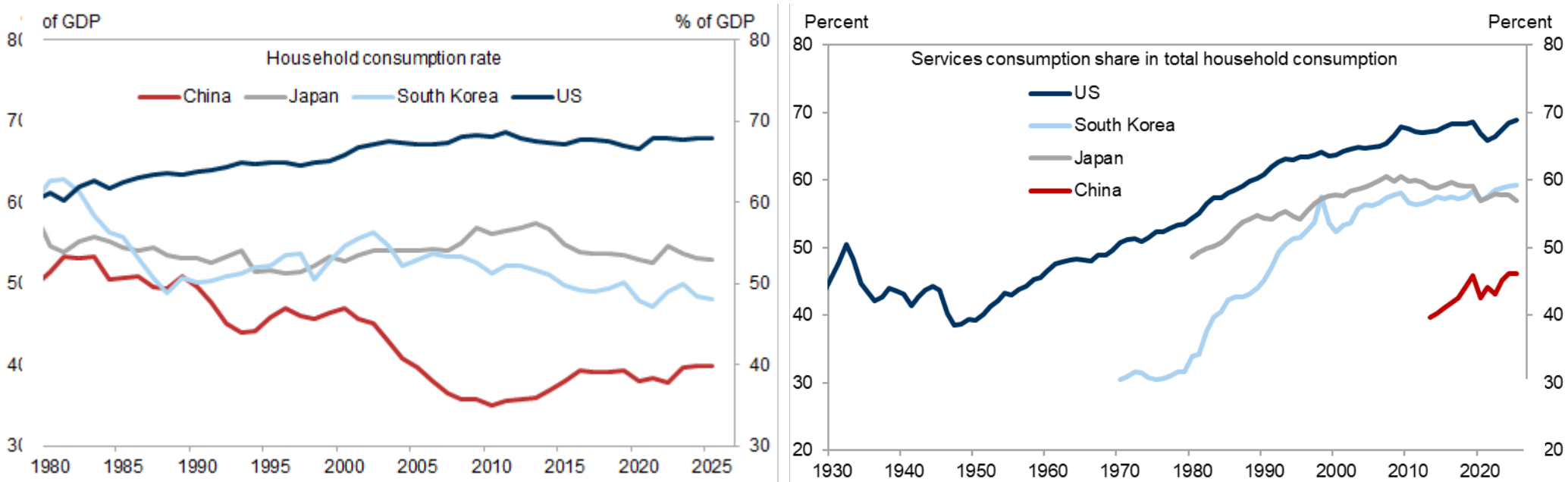
Source: NBS, Caixin, Haver Analytics, Data compiled by Goldman Sachs Global Investment Research

# Effect of Government-subsidized Consumer Goods Trade-in Program Should Fade Over Time



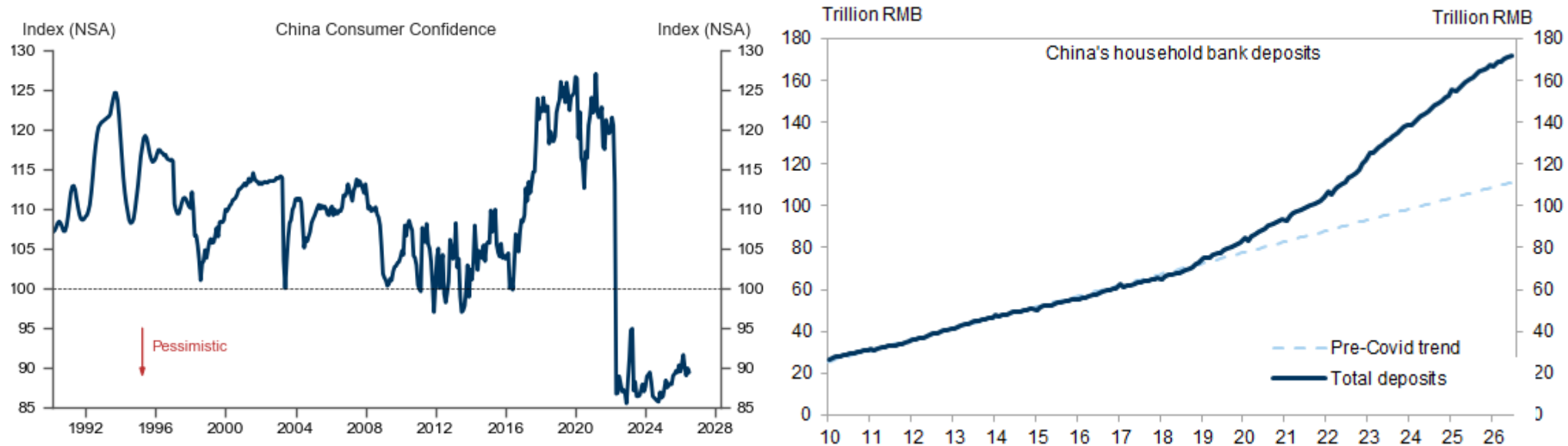
Source: Wind, Haver Analytics, Goldman Sachs Global Investment Research

# Policymakers Have Intensified Their Focus on Boosting Services Consumption



Source: Haver Analytics, Goldman Sachs Global Investment Research

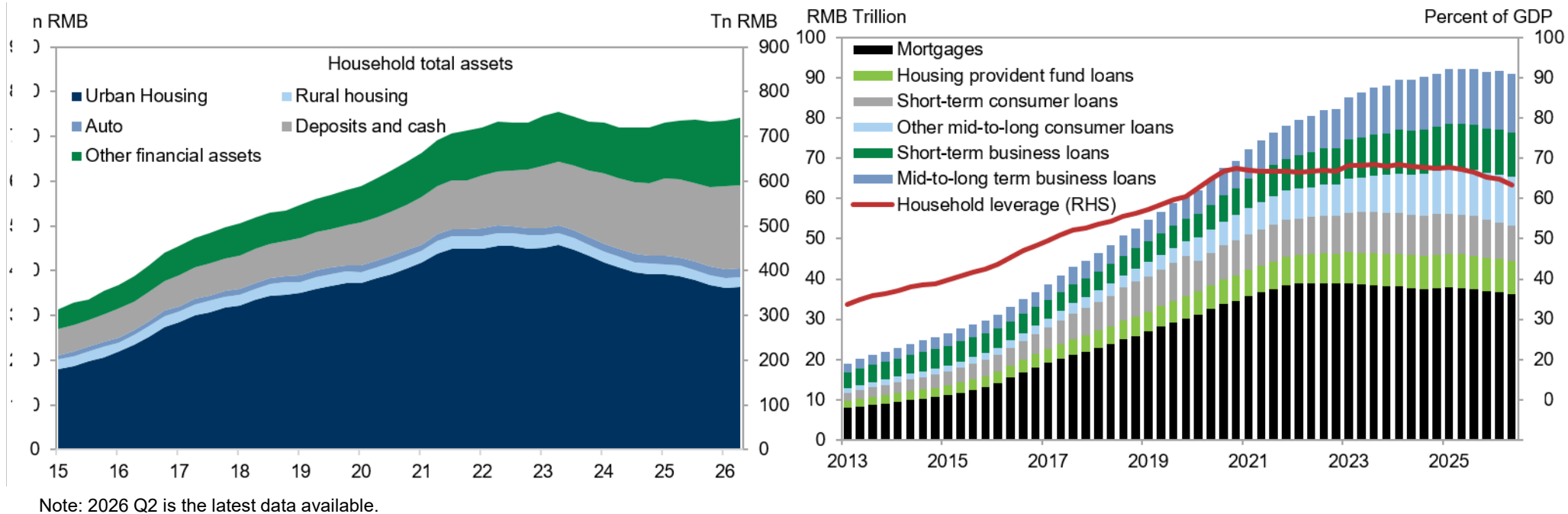
# Consumer Sentiment Stays Weak and Household Bank Deposits Remain Elevated



Source: Haver Analytics, Goldman Sachs Global Investment Research

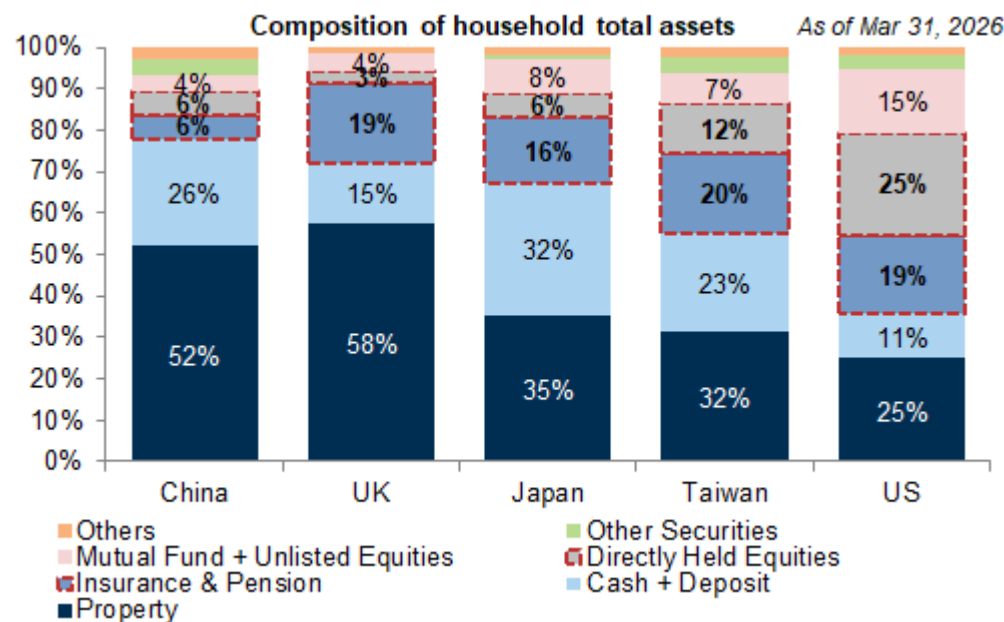
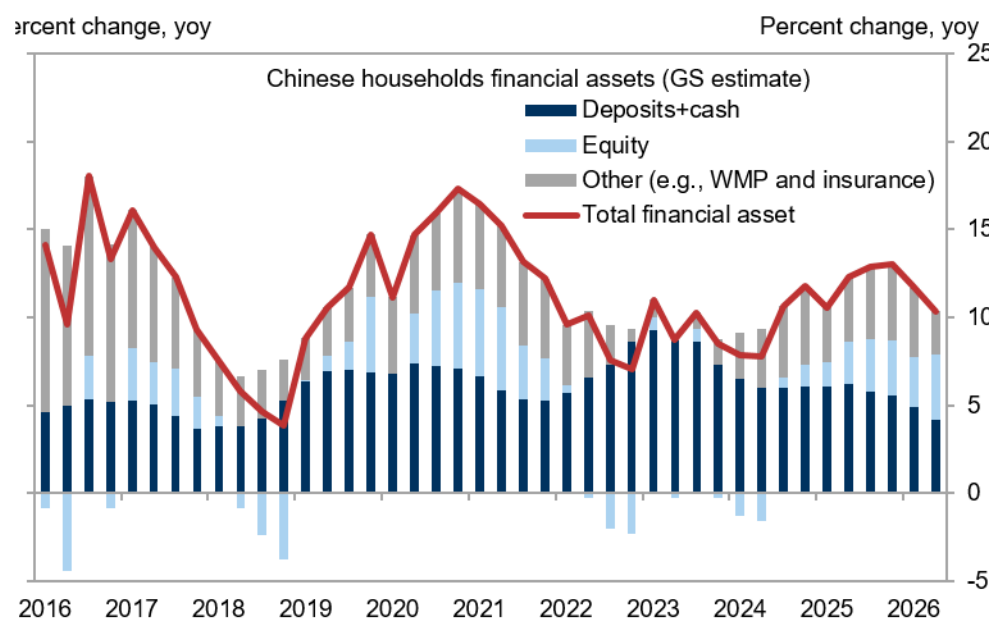


# Household Balance Sheet: Structural Shift from Property to Financial Assets Amid Ongoing Deleveraging



Source: Wind, CEIC, Haver Analytics, Goldman Sachs Global Investment Research

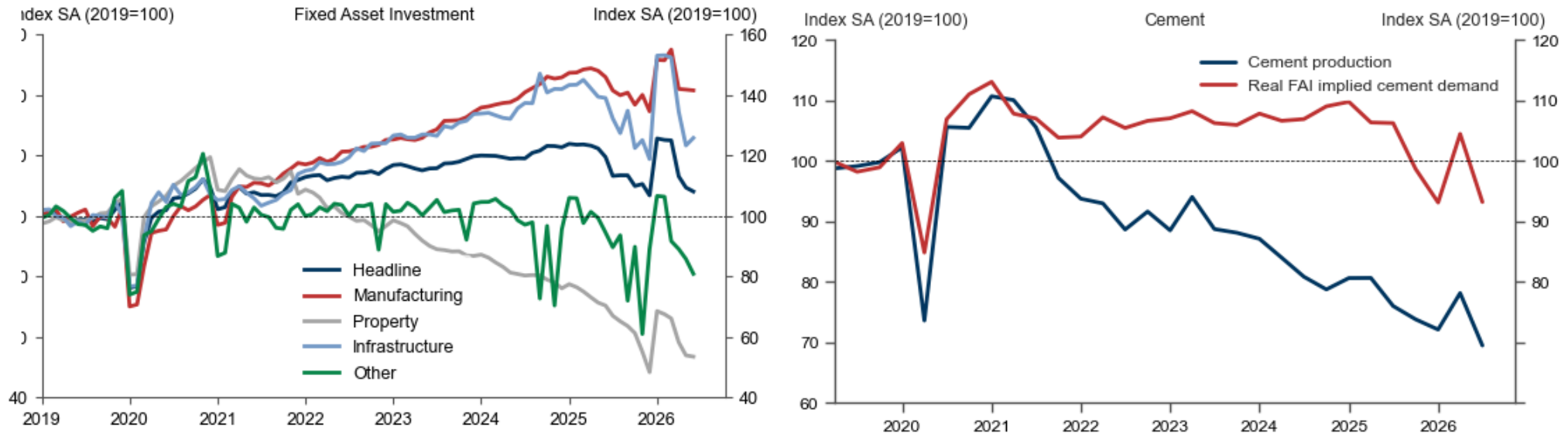
# Since the September 2024 Policy Pivot, Equities Have Contributed More to Financial Asset Growth



Here, "unlisted equities" refer to privately held ownership stakes in companies that are not listed or traded on public exchanges. For China, given limited visibility into household unlisted equity holdings, we use private equity held by the household sector as a proxy.

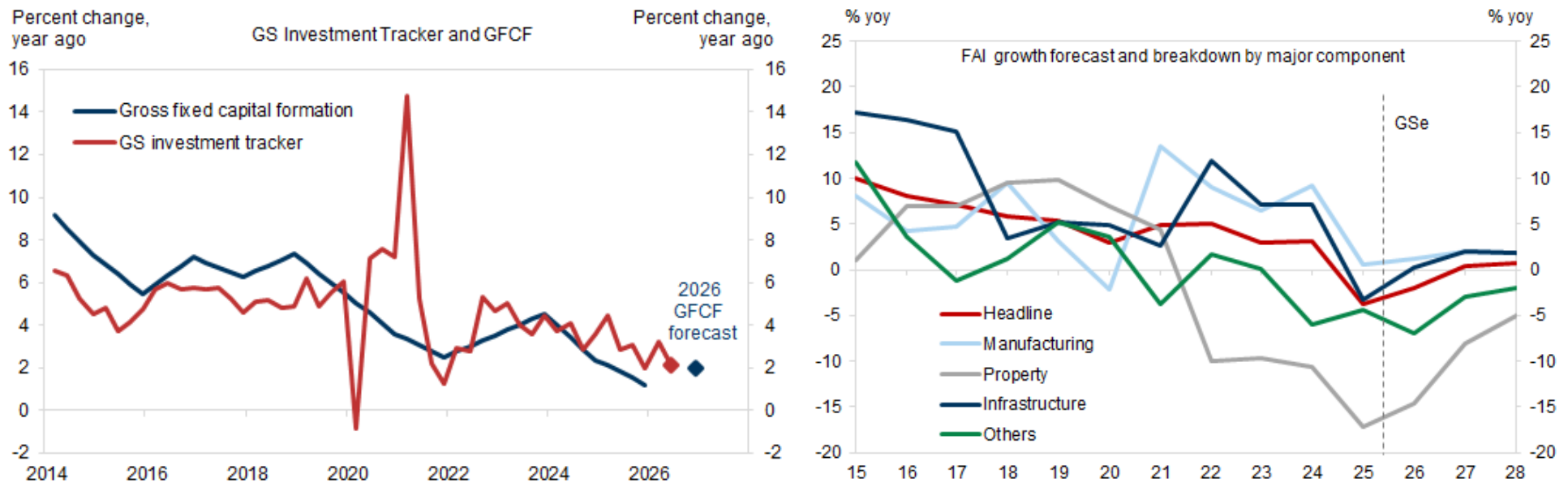
Source: Wind, CEIC, Haver Analytics, Goldman Sachs Global Investment Research

# Fixed Asset Investment Data Exhibited Significant Volatility in Recent Quarters, Partly Due to NBS Statistical Corrections



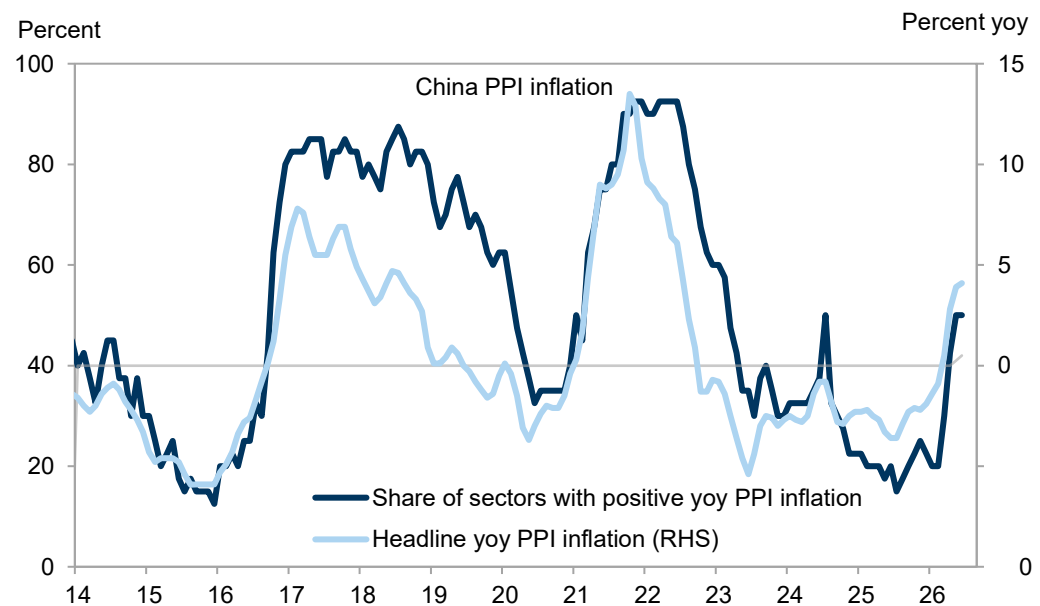
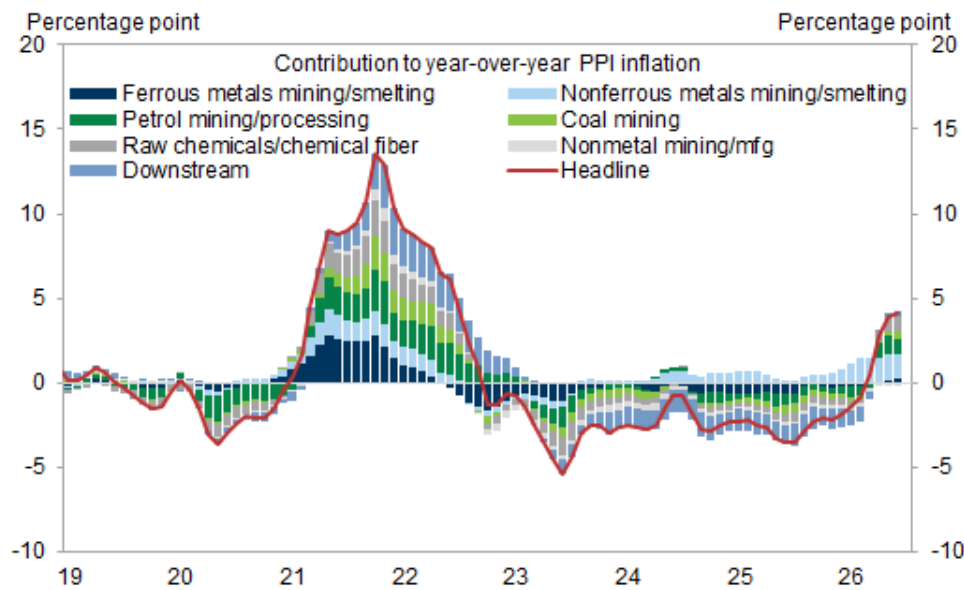
Source: CEIC, Wind, Goldman Sachs Global Investment Research

# We Expect Investment Growth to Rebound Modestly in 2026 on Policy Support and a Low Base, Despite Still-Wide Gap Across Sectors



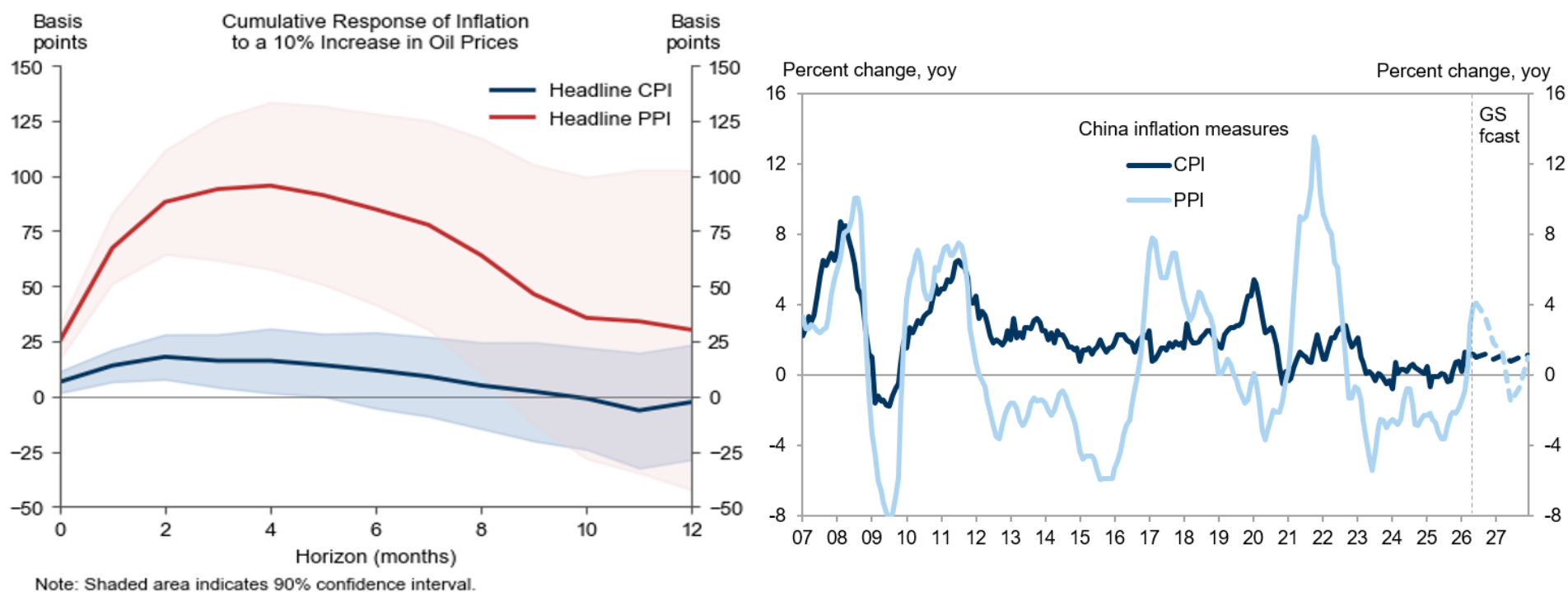
Source: NBS, CEIC, Goldman Sachs Global Investment Research

# Higher Energy Prices Lift PPI Inflation in 2026



Source: CEIC, Haver Analytics, Goldman Sachs Global Investment Research

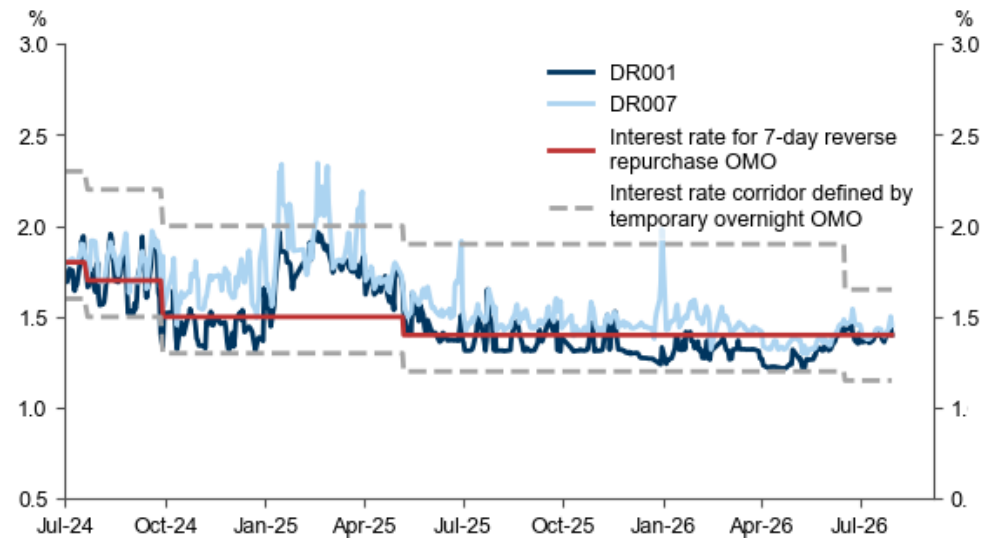
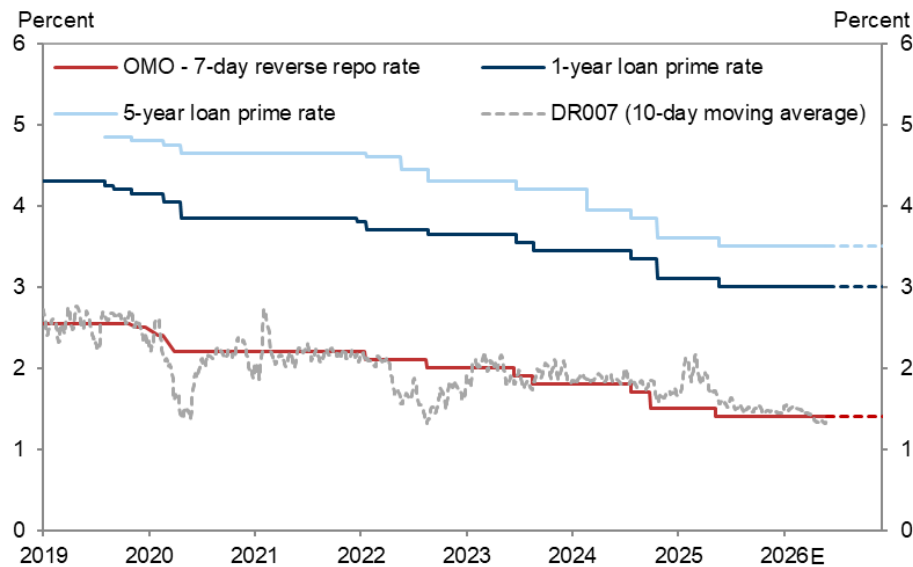
# We Expect Headline CPI/PPI Inflation to be 1%/2% in 2026



Note: We use 2006-2025 monthly data for our local projections with an instrument variable, i.e., oil supply shock from Känzig (2021).

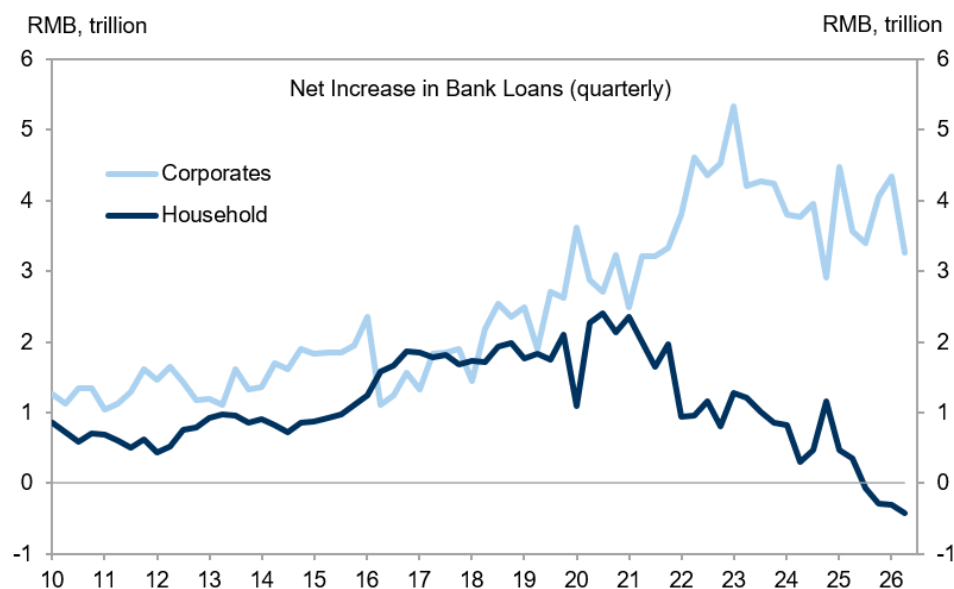
Source: CEIC, Goldman Sachs Global Investment Research

# We Do Not Expect PBOC to Cut Policy Rate This Year; PBOC Tightened Interest Rate Corridor and Started Overnight Reverse Repo Operation



Source: PBOC, Wind, Goldman Sachs Global Investment Research

# Household Loans Contracted While Corporate Loans Expanded; Credit Redirected From Property to High-Tech Sectors



Source: Haver Analytics, Goldman Sachs Global Investment Research

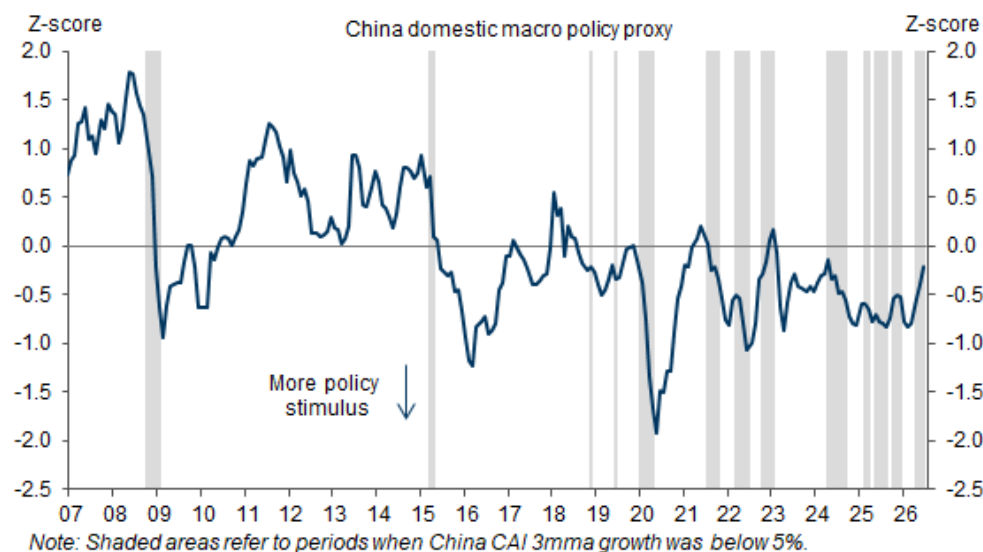


# Breakdown of Our Augmented Fiscal Deficit Metric

|                         | Percent of GDP                                                                           | 2019        | 2020        | 2021        | 2022        | 2023        | 2024        | 2025        | 2026F       | Change in 2026F |
|-------------------------|------------------------------------------------------------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-----------------|
| <b>1 =3-(2+4)</b>       | <b>Official on-budget deficit</b>                                                        | <b>2.8</b>  | <b>3.6</b>  | <b>3.2</b>  | <b>2.8</b>  | <b>3.8</b>  | <b>3.0</b>  | <b>4.0</b>  | <b>4.0</b>  | <b>0.0</b>      |
| 2                       | Budget revenue                                                                           | 18.9        | 17.7        | 17.3        | 16.5        | 16.8        | 16.3        | 15.4        | 15.0        | -0.4            |
| 3                       | Budget expenditure                                                                       | 23.7        | 23.7        | 20.9        | 21.1        | 21.2        | 21.1        | 20.5        | 20.1        | -0.4            |
| 4                       | Net drawdown of fiscal deposit and transfer from other fiscal accounts                   | 2.0         | 2.5         | 0.5         | 1.8         | 0.7         | 1.8         | 1.1         | 1.1         | 0.0             |
| <b>5 =3-2</b>           | <b>Effective on-budget deficit</b>                                                       | <b>4.8</b>  | <b>6.1</b>  | <b>3.7</b>  | <b>4.6</b>  | <b>4.5</b>  | <b>4.8</b>  | <b>5.1</b>  | <b>5.1</b>  | <b>0.0</b>      |
| 6                       | Local government special bond (LGSB)                                                     | 2.1         | 3.5         | 2.8         | 3.6         | 3.0         | 3.0         | 3.1         | 3.1         | 0.0             |
| <b>7 =8+9</b>           | <b>LGFV bond and railway construction bond net issuance</b>                              | <b>1.3</b>  | <b>2.2</b>  | <b>2.1</b>  | <b>1.0</b>  | <b>1.0</b>  | <b>-0.1</b> | <b>0.0</b>  | <b>0.4</b>  | <b>0.4</b>      |
| 8                       | LGFV bond net issuance                                                                   | 1.2         | 2.2         | 2.0         | 1.0         | 1.0         | 0.0         | 0.0         | 0.3         | 0.3             |
| 9                       | Railway construction bond net issuance                                                   | 0.0         | 0.1         | 0.1         | 0.0         | -0.1        | -0.1        | 0.0         | 0.1         | 0.1             |
| <b>10 =11+12</b>        | <b>Policy bank support (including PSL)</b>                                               | <b>1.3</b>  | <b>2.0</b>  | <b>1.0</b>  | <b>1.7</b>  | <b>1.1</b>  | <b>0.2</b>  | <b>0.2</b>  | <b>0.6</b>  | <b>0.5</b>      |
| 11                      | Policy bank bond issuance                                                                | 1.2         | 2.3         | 1.4         | 1.4         | 1.0         | 0.8         | 1.1         | 0.6         | -0.5            |
| 12                      | PSL                                                                                      | 0.2         | -0.3        | -0.4        | 0.3         | 0.1         | -0.7        | -1.0        | 0.1         | 1.0             |
| 13                      | Trust loans                                                                              | -0.2        | -0.5        | -0.9        | -0.2        | 0.1         | 0.1         | 0.1         | 0.1         | 0.0             |
| 14                      | Net financing via land sales                                                             | 2.2         | 2.4         | 2.2         | 1.6         | 1.3         | 1.1         | 0.9         | 0.7         | -0.2            |
| 15                      | Central government special bond (CGSB)                                                   | 0.0         | 1.0         | 0.0         | 0.0         | 0.0         | 0.7         | 1.3         | 1.1         | -0.2            |
| 16                      | Local government debt resolution (swap / refinancing / special-purpose refinancing bond) | 0.1         | 0.0         | 0.2         | 0.1         | 0.4         | 0.7         | 0.5         | 0.5         | 0.0             |
| <b>=5+6+7+1</b>         |                                                                                          |             |             |             |             |             |             |             |             |                 |
| <b>17 0+13+14+15+16</b> | <b>Augmented fiscal deficit (AFD)</b>                                                    | <b>11.7</b> | <b>16.6</b> | <b>11.2</b> | <b>12.3</b> | <b>11.3</b> | <b>10.6</b> | <b>11.0</b> | <b>11.5</b> | <b>0.5</b>      |

Source: Haver Analytics, Wind, CEIC, Goldman Sachs Global Investment Research

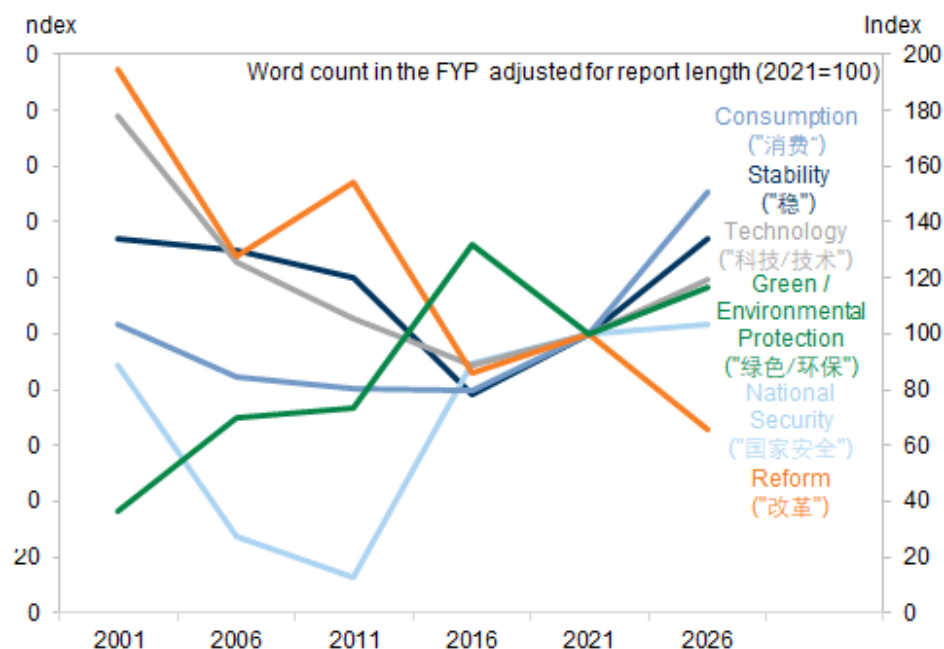
# We Expect Macro Policy to Resume Easing in H2, After the Q2 Tightening



| Type               | Instrument                             | 2025                                                                                                                                                                                                                                                                      | 2026F                                                                                                                                                                                                                                                                  |
|--------------------|----------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Monetary (eop)     | RRR                                    | Large banks: 7.5%<br>Medium-sized banks: 5.5%<br>Small banks: 5.0%                                                                                                                                                                                                        | Large banks: 7.5%<br>Medium-sized banks: 5.5%<br>Small banks: 5.0%                                                                                                                                                                                                     |
|                    | 7-Day OMO                              | 1.40%                                                                                                                                                                                                                                                                     | 1.40%                                                                                                                                                                                                                                                                  |
| Fiscal (full year) | Effective on-budget deficit (% of GDP) | 5.1%                                                                                                                                                                                                                                                                      | 5.1%                                                                                                                                                                                                                                                                   |
|                    | Augmented fiscal deficit (% of GDP)    | 11.0%                                                                                                                                                                                                                                                                     | 11.5%                                                                                                                                                                                                                                                                  |
| Credit (eop yoy)   | TSF stock                              | 8.3%                                                                                                                                                                                                                                                                      | 7.2%                                                                                                                                                                                                                                                                   |
| Housing            | Housing policy                         | Further reductions to mortgage rates; further relaxation on home purchase restrictions in Tier-1 cities; more bank lending for "whitelist" projects; cash-backed settlement of urban village renovation; continued policy support to destock existing housing inventories | Further reduction to mortgage rates (by expanding the use of housing provident funds); further relaxation of home purchase restrictions in Tier-1 cities; cash-backed settlement of urban village renovation; government programs to help destock existing inventories |
| FX (eop)           | USDCNY                                 | 7.00                                                                                                                                                                                                                                                                      | 6.70                                                                                                                                                                                                                                                                   |

Source: Goldman Sachs Global Investment Research, Wind, Haver Analytics, CEIC

# China's "Barbell Strategy" for High-Quality Growth in the 15th FYP



| Categories                                               | Major Projects                                                                                                                                                                                                                                                                                                                                                     |
|----------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Cultivate and Develop New Industries                     | Advanced IC, Embodied Intelligence, Biomanufacturing, Next-generation Batteries, Commercial Aerospace, Domestically Produced Large Aircrafts, Low-Altitude Aviation Equipment, Green Hydrogen, Brain-Computer Interfaces, High-End Medical Devices                                                                                                                 |
| Development of New Infrastructure                        | National Integrated Computing Power Network, Satellite Internet, ICT Networks, Data Infrastructure, Low-Altitude Infrastructure                                                                                                                                                                                                                                    |
| AI+ Initiative                                           | AI+ Science & Technology, AI+ Industrial Development, AI+ Consumption Upgrade, AI+ People's Livelihood, AI+ Governance, AI+ Global Cooperation                                                                                                                                                                                                                     |
| Promoting Employment and Upgrading Employment Services   | Strengthening Employment Support for Key Groups, The "Skills Illuminate the Future" Training Initiative, Improving the Quality of Public Employment Services, Enhancing the Effectiveness of Entrepreneur Driven Employment                                                                                                                                        |
| Peaking Carbon Emissions and Achieving Carbon Neutrality | Energy Conservation and Carbon Reduction in Key Industries, Clean Substitution for Coal Consumption, Developing Zero-Carbon Industrial Parks and Zero-Carbon Transport Corridors, Leveraging the Circular Economy to Support Carbon Reduction, Reducing Non-CO2 Greenhouse Gas Emissions, Enhancing Foundational Capacity for Carbon Peaking and Carbon Neutrality |

Note: In the RHS table, highlights in orange refer to tech-related new projects in the 15th FYP compared to the 14th FYP, and highlights in blue refer to other new projects.

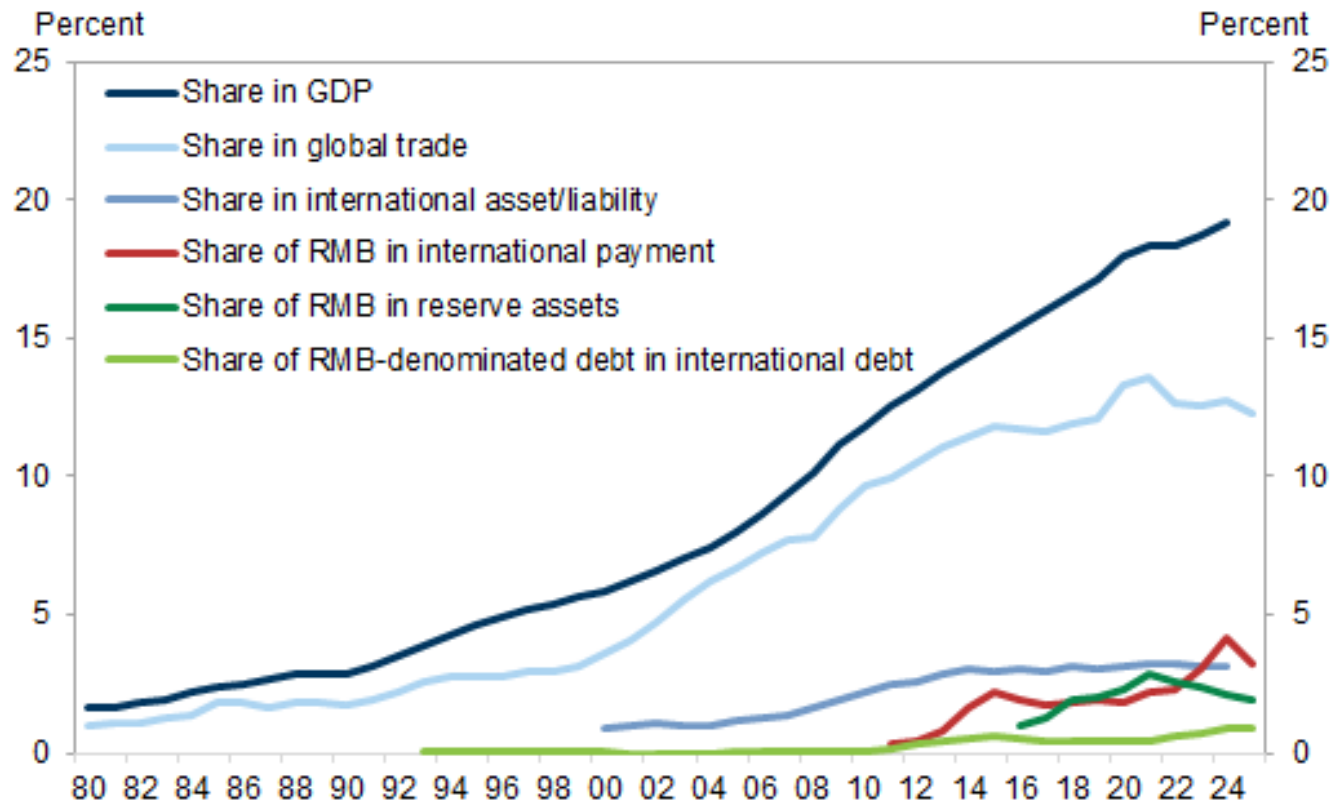
Source: Government websites, Goldman Sachs Global Investment Research

# Three Stages of Labor Market Adaption to AI Adoption



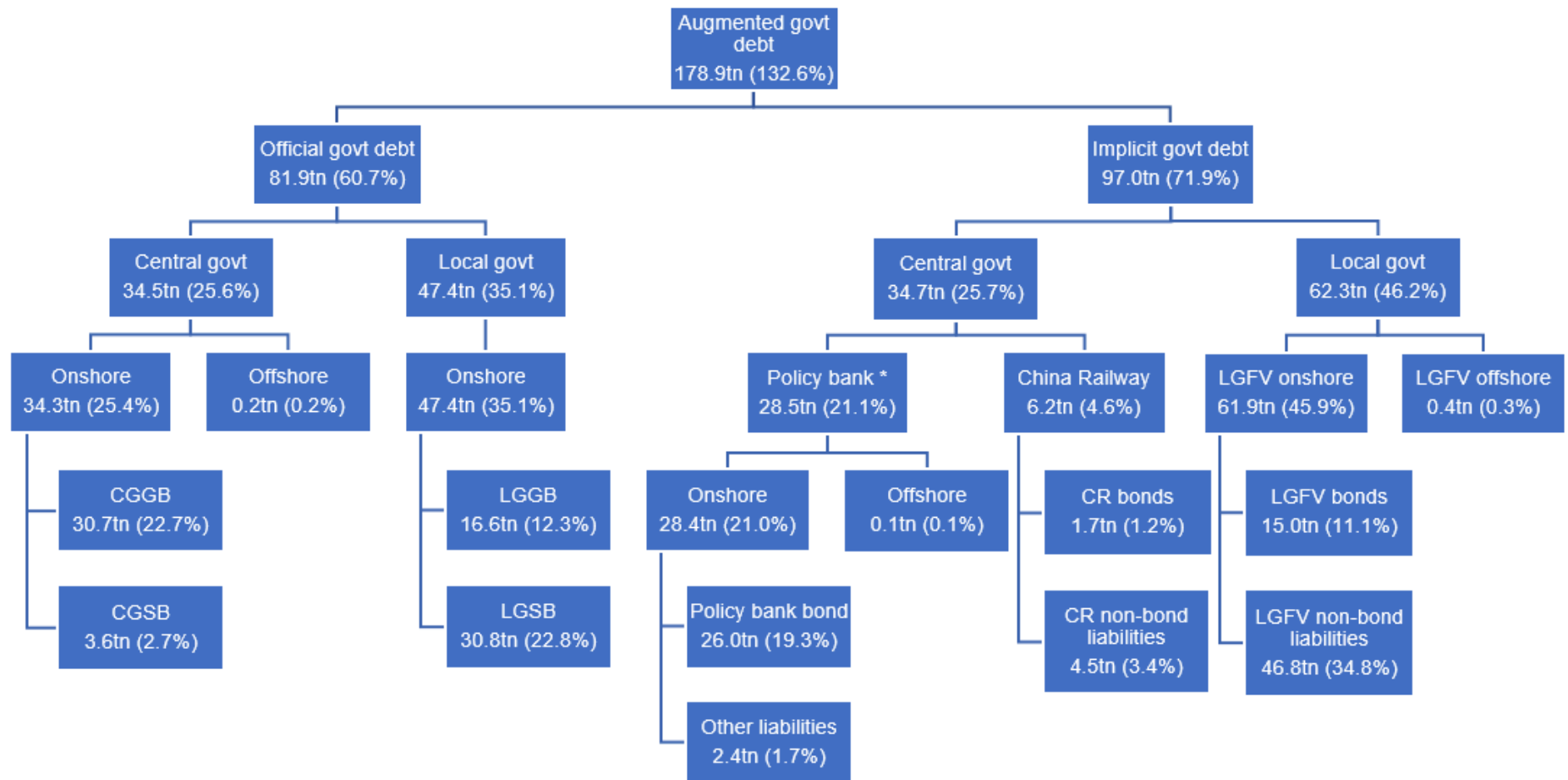
Source: Goldman Sachs Global Investment Research

# RMB International Use Has Improved, But Still Trails China's Global GDP and Trade Shares



Source: BIS, Lane & Milesi-Ferretti (2018), Haver Analytics, Wind, Goldman Sachs Global Investment Research

# China's Augmented Government Debt Reached RMB 179tn in 2024 (133% of GDP)



Note: Percent in parenthesis indicates % of GDP.

Source: MOF, Wind, Bloomberg, CEIC, Goldman Sachs Global Investment Research

# Local Officials' Incentive Also Matters for the Effectiveness of Policy Implementation



Note: The proxy represents the number of government officials announced as under investigation each quarter. National level is deputy ministerial level and above; local level is any level but in practice mostly deputy bureau level and above.

Source: China Central Commission for Discipline Inspection, Data compiled by Goldman Sachs Global Investment Research

# Upcoming Key Macro Catalysts for China Markets

| Date                   | Events                                                                                  |
|------------------------|-----------------------------------------------------------------------------------------|
| 24 Sep 2026 (likely)   | President Xi's potential state visit to the US (invited by US President Trump)          |
| 19 Oct 2026            | Q3 2026 GDP release                                                                     |
| Oct 2026               | The 5th Plenum of the 20th CCP Central Committee                                        |
| Late Oct 2026 (likely) | Financial Street Forum (with PBOC, NFRA, CSRC and SAFE sessions)                        |
| 3 Nov 2026             | US Midterm Elections                                                                    |
| 10 Nov 2026            | Expiration of tariff/rare earth control pause agreed at Trump-Xi meeting in South Korea |
| 18-19 Nov 2026         | APEC 2026 China (in Shenzhen)                                                           |
| Early to mid-Dec 2026  | Politburo meeting on economic policies                                                  |
| Mid-Dec 2026           | Central Economic Work Conference                                                        |
| 14-15 Dec 2026         | G20 Summit in Miami                                                                     |

Source: Government websites, Data compiled by Goldman Sachs Global Investment Research



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# Disclosure Appendix

August 4, 2026

# Disclosure Appendix

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